



Network Pricing Proposal

**Periods 2 to 5
1 July 2008 – 30 June 2012**

Version 1.3 – June 2008

Contents

1	Introduction.....	1
1.1	Purpose	1
1.2	Regulatory Arrangements	1
1.3	Current Network Tariffs	1
1.4	Proposed Network Tariff Rates for Period 2.....	3
2	Proposed Changes for Period 2	4
2.1	Proposed Changes for Period 2.....	4
2.1.1	Nursing Home Tariff.....	4
2.1.2	Curtilage.....	5
2.1.3	Aurora Pay As You Go Tariff.....	7
2.2	Compliance with the Pricing Principles	7
2.2.1	Postage Stamp Pricing	7
2.2.2	Bounded Revenues	7
2.2.3	Charging Parameter Qualities	8
3	Proposed Network Tariffs for Period 2	11
3.1	LV General Network – Residential (N01)	11
3.1.1	Terms and Conditions.....	11
3.1.2	Rates	12
3.1.3	Variations Since P1	12
3.1.4	Future Variations	12
3.2	LV General Network – Business (N02)	13
3.2.1	Terms and Conditions.....	13
3.2.2	Rates	13
3.2.3	Variations Since P1	14
3.2.4	Future Variations	14
3.3	LV General Network – Business - Nursing Homes (N02a).....	14
3.3.1	Terms and Conditions.....	14
3.3.2	Rates	15
3.3.3	Variations Since P1	15
3.3.4	Future Variations	16
3.4	LV General Network – Business - Same Curtilage (N02b).....	16
3.4.1	Terms and Conditions.....	16
3.4.2	Rates	17
3.4.3	Variations Since P1	17
3.4.4	Future Variations	17
3.5	LV Aurora Pay As You Go (N13)	18
3.5.1	Terms and Conditions.....	18
3.5.2	Rates	18
3.5.3	Variations Since P1	19

3.5.4	Future Variations	19
3.6	LV Aurora Pay As You Go (N13a).....	19
3.6.1	Terms and Conditions.....	19
3.6.2	Rates	20
3.6.3	Variations Since P1.....	20
3.6.4	Future Variations	20
3.7	LV Uncontrolled Energy (N05).....	20
3.7.1	Terms and Conditions.....	20
3.7.2	Rates	23
3.7.3	Variations Since P1.....	23
3.7.4	Future Variations	23
3.8	LV Controlled Heating (N06).....	24
3.8.1	Terms and Conditions.....	24
3.8.2	Rates	25
3.8.3	Variations Since P1.....	26
3.8.4	Future Variations	26
3.9	LV Demand – kW (N03) - Obsolete	26
3.9.1	Terms and Conditions.....	26
3.9.2	Rates	27
3.9.3	Variations Since P1.....	27
3.9.4	Future Variations	28
3.10	LV Metered Demand (kVA) Tariff (N09)	28
3.10.1	Terms and Conditions.....	28
3.10.2	Rates	28
3.10.3	Variations Since P1.....	29
3.10.4	Future Variations	29
3.11	LV Day/Night (Irrigation) Tariff (N08)	29
3.11.1	Terms and Conditions.....	29
3.11.2	Time of Use Availability.....	29
3.11.3	Rates	30
3.11.4	Variations.....	31
3.11.5	Future Variations	31
3.12	LV Small Unmetered (N07).....	31
3.12.1	Terms and Conditions.....	31
3.12.2	Rates	32
3.12.3	Variations.....	32
3.12.4	Future Variations	32
3.13	HV Demand kW (N11) – Obsolete	33
3.13.1	Terms and Conditions.....	33
3.13.2	Rates	33

3.13.3	Variations	34
3.13.4	Future Variations	34
3.14	HV Demand kVA (N10).....	34
3.14.1	Terms and Conditions.....	34
3.14.2	Rates	35
3.14.3	Variations	35
3.14.4	Future Variations	35
3.15	HV Specified Demand, > 2MVA (N15)	36
3.15.1	Terms and Conditions.....	36
3.15.2	Rates	36
3.15.3	Variations	37
3.15.4	Future Variations	37
3.16	HV ITC Tariff	37
3.16.1	Terms and Conditions.....	38
3.16.2	Rates	38
3.16.3	Variations	38
3.16.4	Future Variations	38
3.17	Street Lighting (N20).....	38
3.17.1	Terms and Conditions.....	38
3.17.2	Rates	38
3.17.3	Variations	39
3.17.4	Future Variations	39
3.18	Standard Transmission Charges	39
3.19	General Network Terms and Conditions	40
3.19.1	Times	40
3.19.2	Aurora's Obligation to Supply	41
3.19.3	Customers' General Obligations	41
3.19.4	Fallback.....	43
3.19.5	Demand Tariffs	44
4	Adjustment Variables	46
4.1	AARR Calculation Equation Variables	46
4.1.1	CPI Adjustments	46
4.1.2	Electrical Safety Inspection Service Charge Adjustment	47
4.1.3	National Energy Market Charge	47
4.1.4	Trunk Mobile Radio Allowance	47
4.1.5	GSL Scheme Single Event Cap	47
4.1.6	Under/Over Recovery Adjustment.....	48
4.1.7	NEM Costs.....	48
4.1.8	FRC Costs	48
4.1.9	Allowable Tax Events	48

4.1.10	Approved Increased Safety / Environmental Compliance Costs	48
4.1.11	Capital Contributions Policy Change Adjustment	48
4.1.12	GSL Scheme Cumulative Payments Cap.....	49
4.1.13	Adjustment from Previous Determination.....	49
4.1.14	Banking.....	49
4.2	Transmission Costs	49
4.3	Metering Costs.....	49
4.4	Effects of Adjustment Variables on Network Tariffs	50
4.4.1	AARR Adjustment Variables.....	50
4.4.2	Transmission Charge Variations	50
4.4.3	Metering Charges Variations	50
4.5	Effects of Increasing AARR on Network Tariffs.....	50
5	Methodologies	51
5.1	Rebalancing of Revenues	51
5.2	Reallocation between Fixed and Variable Costs	51
6	Compliance	52
6.1	Reconciliation of Tariff Revenue with AARR.....	52
6.2	Compliance with the Guideline	53
6.3	Compliance with the Network Tariff Strategy.....	55
6.4	Compliance with the 2007 Determination	55
6.4.1	“Postage Stamp” Pricing	55
6.4.2	Bounded Revenues	55
6.4.3	Long Run Marginal Costs.....	56
7	Typical Customer Effects.....	57
7.1	Estimated Changes to Retail Tariff Rates Between Period 1 and Period 2	57
7.1.1	Method	57
7.1.2	Notes	57
7.2	Typical Customer Analysis Results – Estimated Retail Outcomes	58
7.2.1	LV Residential Retail Tariff 31	58
7.2.2	LV Residential Retail Tariff Mix 31, 41	59
7.2.3	LV Residential Retail Tariff Mix 31, 42	60
7.2.4	LV Residential Retail Tariff Mix 31, 41, 61/62.....	61
7.2.5	LV Residential Tariff Mix 31, 42, 61/62.....	62
7.2.6	LV Residential Retail Mix 31, 61/62.....	63
7.2.7	LV General Network – Business – Retail Tariff 22	64
7.2.8	Nursing Homes - Retail Tariff 34	64
7.2.9	LV Metered Demand (kW) – Retail Tariff 83	65
7.2.10	LV Metered Demand (kVA) – Retail Tariff 82	65

7.2.11	HV Metered Demand (kVA) – Retail Tariff 85	66
7.2.12	HV Metered Demand (kW) – Retail Tariff 86.....	66
7.2.13	LV Day/Night Irrigation – Retail Tariffs 73 & 74	67
7.3	Comparison with Other Jurisdictions.....	68
7.3.1	Period 1	68
7.4	Cross-over Analysis	70
7.4.1	Small Customer Tariffs	70
8	Maximum Annual Revenue	71
8.1	Weighted Average of All Capital Cities CPI, CPI _y	73
8.2	Electrical Safety Inspection Service charge adjustment; ESISC _y	74
8.3	Prior years under or over recovery of revenue adjustment; K _{y-p}	75
8.4	National Energy Market Charge Adjustment; NEMC _y	77
8.5	Trunk Mobile Radio Network Charge Adjustment; TMR _y	78
8.6	GSL threshold Adjustment; GSL _{sey}	79
8.7	Participation in National Energy Market Adjustment; NEM _y	80
8.8	Allowance for implementation of Full Retail Contestability; FRC _y	80
8.9	Legislation change adjustment; L _y	81
8.10	Capital Contribution policy adjustment; CapCon _y	81
8.11	GSL payment adjustment; GSL _{cap_y}	81
8.12	Revenue banking adjustment; O _y	82
8.13	Adjustments arising from the administration of the 2003 Determination; CF _y	82
8.13.1	Revenue Adjustments for Variations in Electrical Safety Expenditure, ES _y	83
8.13.2	Revenue Adjustments for Variation in Capital expenditure, FADJ _y	84
8.13.3	Revenue Adjustments for Variations in Energy and Demand, K _y	85
8.13.4	Revenue Adjustments for the Impact of SAIDI Variations – SAIDI _y	87
8.13.5	Revenue Adjustments for the Impact of SAIFI Variations – SAIFI _y	88
8.13.6	Revenue Adjustments for Variations in Meter Installations, M _y	89
8.13.7	Revenue Adjustments for Variation in Capital Expenditure, NEMC _y	89
8.13.8	Revenue Adjustments for Variation in Operating and Maintenance Expenditure, NEMOM _y	93
8.13.9	Tax Event Adjustment; TAXA _y	95
9	Audit Certificate.....	96
10	Definitions	97

Document History

Date	Version	Comments
30 April 2008	1.0	Original
1 May 2008	1.1	Correction to N06 Terms and Conditions
7 May 2008	1.2	Correction of AARR figures in Sections 6.1 and 8
3 June 2008	1.3	Amendments to rates for tariffs N01, N02, N02a and N02b Introduction of tariff N13a Correction to N05 Terms and Conditions

1 Introduction

1.1 Purpose

This Pricing Proposal has been prepared to fulfil the dual roles of compliance with the Guideline and to provide customers connected to the Aurora Distribution Network with an indication of the proposed tariffs for their use of the network during the second period governed by the Determination, which is to run from the 1st of July, 2008, until the 30th of June, 2009.

1.2 Regulatory Arrangements

Aurora is a Tasmanian Government owned electricity distribution and retail company. It was formed in July 1998 pursuant to the Electricity Companies Act 1997 and incorporated under the Corporations Law. It has two shareholders, the Minister for Energy and the Treasurer.

As the monopoly provider of distribution and certain metering services within the Tasmanian jurisdiction, Aurora is required to hold a distribution licence in accordance with the ESI Act. This licence was issued in December, 1998, and authorises Aurora to distribute electricity on mainland Tasmania subject to certain conditions and regulatory controls.

The Office of the Tasmanian Energy Regulator undertakes the regulation of distribution services within the Tasmanian jurisdiction. A key component of this jurisdictional regulation is the review and monitoring of the economic framework that will apply to the regulated businesses within the jurisdiction.

Under this economic framework the Regulator is required to investigate the prices for the provision of distribution and metering services in accordance with the Price Control Regulations. This investigation culminates in the release of a pricing determination that outlines the maximum allowable revenues, or prices, that Aurora may earn for the provision of regulated distribution and metering services for the regulatory period.

The 2007 Determination was delivered in October, 2007, and sets the maximum allowable revenues and prices that Aurora may earn for the regulatory period from the 1st of January, 2008, to the 30th of June, 2012.

Tariffs for collection of revenues allowed by the Determination are constructed in compliance with the Determination and the Guideline.

1.3 Current Network Tariffs

The Network Tariffs offered in Period 1, which runs from the 1st of January, 2008, until the 30th of June, 2008, are presented in Table 1

Table 1 Network Tariffs Offered in Period 1

Tariff	MSATS Code	Description	NUoS Components
N01	AURESGEN	General Network – Residential	Daily charge with declining three step energy charge
N02	AUBLVGEN	General Network – Business	Daily charge with declining two step energy charge
N03	AUBLVDMKW	LV kW Demand	Daily charge, single energy charge and declining two step demand charge
N05	AUHEATUNCO	Uncontrolled Heating	Daily charge with single energy charge
N06	AUHEATCONT	Controlled Heating	Daily charge with single energy charge
N07	AUUMS	Small LV Unmetered	Daily charge with single energy charge
N08	AUIRRIG	LV Day/Night (Irrigation)	Daily charge with peak and off-peak energy charge
N09	AUBLVDMKVA	LV kVA Demand	Daily charge, single energy charge and declining two step demand charge
N10	AUBHVDMKVA	HV kVA Demand	Daily charge, single energy charge and single demand charge
N11	AUBHVDMKW	HV kW Demand	Daily charge, single energy charge and single demand charge
N13	AUPAYG	LV APAYG	Daily charge with single energy charge
N15	AUCHVDM2	HV kVA Specified Demand (> 2.0MVA)	Daily charge, time of use energy charge, specified and excess demand charges and nodal transmission charge
N20		Street Lighting	Single demand charge
ITC	AUSPCCUST1	Individual Tariff Calculation	Charges individually calculated for each customer

1.4 Proposed Network Tariff Rates for Period 2

The following table summarises the proposed Network Tariff rates for Period 2.

Table 2 Network Tariff Rates for Period 2

Network Tariff	Network Price	Daily Charge c/day	Metering Charge c/day	Network Energy Rates c/kWh			Step Energy Rates c/kWh			Step Demand Rates c/kVA/day		Capacity Charges c/kVA/day	
				Peak	Shoulder	Off-Peak	Step 1	Step 2	Next	Step 1	Step 2	Spec'd	Excess
N01	General Network	34.534	7.380				9.809	9.029	7.613				
N02	General Network - Business	34.534	10.686				11.017		7.433				
N02a	General Network - Nursing Homes	32.911	10.686				9.506		5.015				
N02b	General Network - Business Less Curtilage		10.686				11.017		7.433				
N03	LV Metered Demand (kW)	109.931	13.740						2.378	45.523	37.132		
N05	Uncontrolled Energy	3.708	7.327						2.899				
N06	Controlled Energy	6.490	7.528						0.784				
N07	Small LV Unmetered	25.901							12.575				
N08	LV Day/Night (Irrigation)	165.952	13.412	10.504		1.689							
N09	LV Metered Demand (kVA)	168.534	13.740						2.039	35.865	32.327		
N10	HV Metered Demand (kVA)	115.448	59.979						1.092		20.451		
N11	HV Metered Demand (kW)	104.846	59.979						1.150		25.540		
N13	LV PAYG	33.302	-						5.539				
N13a	LV PAYG	33.302	8.934						5.539				
N15	HV In Excess of 2MVA	1,563.000	59.979	1.126	0.305	0.039						7.338	22.016
N20	Streetlight								0.096				

2 Proposed Changes for Period 2

This section is to address Guideline 2.3(d)(9): “A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination...”

The following sections detail the changes that Aurora proposes to make to its suite of Network Tariffs for Period 2.

Aurora interprets the requirement to “demonstrate that the changes comply with these Guideline” to mean that details of the tariffs should be presented as outlined in Section 6.2 of this Pricing Proposal. Aurora submits that this is the case, with the tariffs presented in Section 3.

Aurora interprets the requirement to “demonstrate that the changes comply with...the 2007 Determination” to mean that Aurora must demonstrate that the new tariffs have been developed such that they comply with the Pricing Principles set out in the 2007 Determination. These principles, the meaning of compliance with them, and the methodologies applied to ascertain compliance, have been addressed in the NTS (Section 9). Their application to the changes to the proposed tariff suite is presented below.

2.1 *Proposed Changes for Period 2*

Aurora proposes to make three changes to its suite of Network Tariffs for Period 2.

2.1.1 **Nursing Home Tariff**

Support for the dedicated Nursing Home tariff was previously provided at both an Aurora Retail and Aurora Distribution level. From a Distribution Network point of view, this tariff was a discounted sub-set of the LV General Network – Business Network Tariff N02.

During the 2004/5 consultation process, Aurora Network proposed to completely phase out the Nursing Home Network Tariff (N02a) by 2009, noting that:

Aurora does not propose to retain a specific Nursing Home distribution tariff in the long run. Nursing homes generally use much of their energy during off-peak periods and may be better serviced by the Business ToU tariff.

No submissions were received on this point. Moreover, the Regulator, in the 2003 Determination, allowed Aurora to increase the nursing home Retail Tariff by up to 6% above the appropriate CPI rate. The Distribution Network Tariff contributes approximately $\frac{1}{3}$ of the final retail outcome, which translates to allowing the Network Tariff N02a to increase by approximately 6% above the appropriate CPI rate.

During the process of preparing Network Tariffs for Period 1 of the 2007 Determination period, the existing tariff path for tariff N02a was overlooked, causing the tariff N02a to be deleted for Period 1. Those customers

previously on N02a were nominally placed on N02, resulting in nursing home operators facing an average increase in Network Tariff of around 65%, far in excess of the average 17% increase for other tariff classes. The omission was managed to an extent in Period 1 by Aurora Retail absorbing the excess increase and providing a Retail Tariff increase of around 20% to customers on Network Tariff N02a.

The introduction of retail contestability creates many issues for network users. Most nursing home sites become contestable before FRC in Tranches 3 and 4. Functional and Accounting Ring-fencing require Aurora's retail arm to operate without support from Aurora's regulated distribution business so that it does not distort competition. Therefore, any reductions in particular tariffs by a retailer to attract market share must be offset in other tariffs resulting in a degree of cross-subsidy, with the degree determined by the retailer according to their understanding of the market. It is, however, inequitable to expect Aurora's retail arm to offer a disproportionately low tariff to a group of customers without allowing it the ability to cross-subsidise. The only way to ameliorate this position without affecting the viability of the ring-fenced entity is for the shareholders to accept a lessened profit and dividend. Nonetheless, this amelioration still introduces a barrier to competition when the competing retailers are privately owned and the incumbent Government owned.

With the impending contestability of nursing home sites, the only way to provide a reduced tariff result is through a Network Tariff that must be applicable irrespective of retailer. While this is theoretically possible, the issue of cross-subsidisation arises again. Under the terms set by the Regulator in the 2007 Determination and the Tariff Approval Guideline, revenues appropriate to a tariff class must lie between certain bounds. The implication from this is that revenues falling between the bounds create minimal cross-subsidisation.

Aurora will reintroduce the N02a Network Tariff, set at the level approximate to that had the administrative error not occurred; that is the value at 2007 indexed by CPI, the pro rata premium allowed by the Regulator, and the average P_0 tariff adjustment experienced by the customer base. Future increases for N02a will return to $CPI + 6\%$, as agreed, until parity with the LV General Network – Business tariff rate is reached, at which time N02a will be discontinued. The fact that this approach will result in cross-subsidisation of nursing home operators by other members of the customer base must be recognised.

2.1.2 Curtilage

Aurora's current tariff arrangements contain discounts for combinations of residential dwellings and farm buildings on the same property ("same curtilage discount"). Same curtilage discounts are currently granted to approximately 5,300 customers in Tasmania. Some of these customers will become contestable in Tranches 3 and 4, and all will become contestable should full retail competition occur. This in itself creates issues.

Each meter (or more precisely NMI) will be considered to be a separate customer for NEM and contestability purposes, thus Aurora will be required to set a network charge for each NMI. There does not appear to be anything in the NER to prevent Aurora from applying a discount to the tariff at a particular NMI that is located on the same curtilage as another NMI provided that the discount is available to any retailer supplying that NMI. However, details of same curtilage discounts are currently handled at the customer, rather than installation level within Aurora's information system. Establishing and maintaining separate discount information in the network pricing database would add cost and complicate the pricing and billing processes. This is particularly true where the tariff at one NMI is related to the tariff at other NMIs, which may be serviced by different retailers.

In general, these same curtilage discounts have been phased out in other states as retail contestability has been rolled out. Under the new economic requirements set out in the 2007 Determination and the Tariff Approval Guideline, it is not appropriate to have cross-subsidisation between tariff classes, or to have non-cost-reflective pricing. Accordingly, the curtilage discount should be removed, as it has been in all states that have introduced retail contestability. The proposed suite of Network Tariffs has daily charges that only recover the cost of the meter and a small length of low voltage connection asset (typically 25 metres of single phase overhead line). Aurora submits that charging a separate and undiscounted Network Tariff for each meter is therefore cost reflective.

For these reasons of cost-reflectivity and cross-subsidisation, Aurora would prefer not to have same curtilage discounts in its suite of tariffs. Submissions received from the TFGA noted that removal of curtilage discount places a large impost on rural dwellers. To mitigate this to an extent, Aurora proposes to phase out the curtilage discount.

One approach is to remove curtilage discounts from customers as they become contestable. This means that sites becoming contestable in Tranche 3 lose the discount immediately, which is not a preferred outcome. Also, if FRC does not proceed, there will be an equity issue, in that some customers will lose their discount while others will not. An alternative approach is to phase out the discount over time equally to all customers. Such an approach removes the issues surrounding loss of curtilage on contestability.

Accordingly, Aurora proposes to phase out the curtilage discount over ten years. While not desirable from an Aurora point of view, primarily because this process will extend over three Pricing Determination periods, Aurora will take this approach in recognition of the price shocks liable to be faced by customers if curtilage discounts were to be removed over a short period of time, as noted by Erldunda in their submission on behalf of the Regulator. To this end, Period 1 will see 100% discount; Period 2 will see a 90% discount¹; Period 3 will see an 80% discount, and so on.

¹ Consultation was not possible for Period 1, thus no introduction of a reduced discount, in line with the NTS

Initially, though, Aurora must introduce for Period 2 a new Curtilage Network Tariff (N02b), which will be a sub-set of the General Network - Business tariff N02. It is worth noting that Aurora will face increased administrative costs because of this approach. Moreover, there will be a degree of cross-subsidisation, with customers receiving the benefit of a curtilage discount being subsidised by the larger Aurora LV customer base.

2.1.3 Aurora Pay As You Go Tariff

Aurora Retail currently offers a *Pay As You Go* product that sees customers use a prepayment card mechanism to pre purchase their electricity needs. The current technology for this product is provided by Aurora Retail and utilises a combined meter and prepayment module in a single device. New technology will be introduced during Period 2 that will result in the separation of the metering and prepayment equipment.

The introduction of this new technology requires Aurora Network to provide suitable metering technology to accommodate the newly provided retail prepayment units. The provision of meters by Aurora Network will require the application of a metering charge as part of the supporting Network Tariff.

Aurora will introduce an additional LV Aurora Pay As You Go tariff (N13a) as a subset of the existing Network Tariff N13 that includes an additional charge for the provision of the meter.

As Aurora intends to introduce an LV TOU Network Tariff during Period 3, this tariff will be made obsolete upon the introduction of the TOU tariff. Customers that are assigned to Network Tariff N13a will be re-assigned to the newly created TOU tariff.

2.2 Compliance with the Pricing Principles

2.2.1 Postage Stamp Pricing

Network Tariff Pricing Principle (a) of Schedule 2 of the Determination requires that:

Network tariffs for small customers belonging to a particular class are to be uniform, regardless of where in mainland Tasmania the customer is supplied with electricity.

The distribution tariffs for Nursing Homes, Curtilage and Aurora Pay As You Go have been set to be uniform across the state.

2.2.2 Bounded Revenues

Network Tariff Pricing Principle (b) of Schedule 2 of the Determination requires that:

For each Network Tariff class, the revenue expected to be recovered should lie on or between:

- (1) an upper bound representing the stand alone cost of serving the customers who belong to that class; and

- (2) a lower bound representing the avoidable cost of not serving those customers.

The meaning and methodology associated with this Principle is discussed in detail in Section 9.2 of the NTS. The upper and lower bounds and the revenues recovered through the two tariffs are presented in Table 3. Inspection will show that the revenues expected to be recovered through the proposed tariffs lie between the prescribed upper and lower bounds.

Table 3 Assessment of Stand-Alone and Avoidable Costs Against Forecast Tariff Revenue for Period 2

Tariff Class	Stand-Alone Cost (\$ million)	Expected Revenue (\$ million)	Avoidable Cost (\$ million)
N02a General Network - Business Nursing Homes	196.3	2.4	0.0
N02b General Network - Business less curtilage	196.3	1.4	0.0

2.2.3 Charging Parameter Qualities

2.2.3.1 Tariffs and LRMC

Clause 2(c)(1) of Schedule 2 of the 2007 Determination requires that:

A Network Tariff, and if it consists of 2 or more charging parameters, each charging parameter for a tariff class must...take into account the long run marginal cost for the service, or in the case of a charging parameter, for the element of the service to which the charging parameter relates...

This clause is discussed in detail in Section 9.3.1 of the NTS. In line with that discussion, Aurora has structured the charging parameters to signal the impact that customers will have on the network, manage demand and volume variance risk, and avoid sending signals that could result in inefficient choices being made by customers of that tariff class. In this context:

- Aurora's fixed charge parameters for each tariff have been designed to recover the incremental costs that arise from the connection and management of the customer. This sends a signal to customers about the cost of their connection works and sets a constant and foreseeable price for those customers that assist them in making a decision to connect with full visibility of the costs. The fixed charges also provide Aurora with a fixed revenue source by which it can recover its costs and therefore ensure that upstream investment decisions can be made with clarity;
- Aurora Energy's volume charges are designed to recover the costs of the shared network on a basis which reflects the characteristics of the network user.

The two tariffs, Nursing Homes N02a and Curtilage N02b, both have a degree of discounting which affects the proper application of this Principal. In particular, the N02a tariff receives a discount in the energy-based charges that leads to lessened recovery of shared network costs. The N02b tariff, however, receives a discount in relation to the service connections only, meaning that the pricing signal associated with the fixed charge is diminished. Moreover, the discounts lead to substantial subsidisation of customers on these tariffs by the general customer base. Both of these tariffs are historical legacies and are in the process of being phased-out (see Sections 6.5 & 6.6 of the NTS). As the phasing out process continues, the degree of discounting will diminish, as will the cross-subsidisation.

2.2.3.2 Transaction Costs, Fixed/Variable Charges, NEM Costs and Signals

Clause 2(c)(2) requires that...a Network Tariff, and if it consists of 2 or more charging parameters, each charging parameter for a tariff class must be determined having regard to:

- Transaction costs associated with the tariff or each charging parameter;
- The observed proportion of fixed and variable charges applied in other NEM jurisdictions for similar services; and
- The appropriate allocation of costs associated with Aurora's participation in the NEM and retail contestability between contestable and non-contestable customers; and
- Whether customers of the relevant tariff class are able or likely to respond to price signals.

These requirements are discussed in detail in Section 9.3.2 of the NTS. Based on those discussions, Aurora wishes to make the following observations.

- Aurora believes that it has met the transaction costs aspect of this principle because:
 - The number and structure of its Network Tariffs have been established with reference to the transaction costs associated with that number and structure of tariffs. All of Aurora Energy's tariffs use standard usage and demand parameters which are readily measurable and provided by means of Aurora's existing metering and information systems; and
 - The decision to introduce new Network Tariffs has been undertaken with reference to the transaction costs of abolishing or introducing these tariffs.

- Bearing in mind the comments on this issue in Section 9.3.2 of the NTS, it is not possible to compare the proportions of fixed and variable costs for these tariffs with analogous tariffs in mainland jurisdictions because there are no analogous tariffs in mainland jurisdictions. Moreover, the discounted fixed costs for the curtilage tariff N02b distorts the proportions.
- In relation to the requirement that a Network Tariff have regard for the appropriate allocation of NEM/contestability costs between contestable and non-contestable customers, Aurora Energy notes that:
 - It has explicitly identified NEM and contestability costs in the DCOS model; and
 - None of these costs have been allocated to non-contestable customers, in line with instructions received from the Regulator to this effect.
- In the first instance, the price signal aspect of this Principle is not met due to the discounting applied (see above). As the tariffs are aligned with “main stream” Network Tariffs, the pricing signals will improve, because these latter tariffs are to send effective signals as part of its response to meeting Clause 2(c)(1) of the Guideline in relation to LRMC.

2.2.3.3 Requirement to Adjust Tariffs to Recover Revenue

Clause 2(d) of the Guideline requires that:

If, however, as a result of the operation of paragraph (c), the Distribution Network Service Provider may not recover the expected revenue, the provider must adjust its Network Tariffs so as to ensure recovery of expected revenue with minimum distortion to efficient patterns of consumption.

Aurora believes that it has met the requirements of clause 2(c) of the Guideline and forecasts to recover its revenue requirement. As such, it has not found it necessary to apply the adjustment as required in clause 2(d).

3 Proposed Network Tariffs for Period 2

This section is to address Guideline:

2.3(d)(1) “A Network Tariff Pricing Proposal must...set out the proposed Network Tariffs that are to apply for the relevant period...”;

2.3(d)(2): “A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the terms and conditions and the charging parameters and the elements of service to which each charging parameter relates...”;

2.3(d)(3): “A Network Tariff Pricing Proposal must...detail the bona fide forecast installation numbers and loads and the basis of that forecast for each proposed Network Tariff used in developing the Network Tariff Pricing Proposal...”;

2.3(d)(4): “A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the expected revenue for that Network Tariff for the relevant regulatory period and also for the current regulatory period;

2.3(d)(5): “A Network Tariff Pricing Proposal must...detail any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy...”; and

2.3(d)(7): “A Network Tariff Pricing Proposal must...set out the nature of any proposed variation or adjustment to the Network Tariff that could occur during the subsequent periods and the basis on which it could occur...”

For simplicity, the Guideline is addressed by tariff class.

3.1 LV General Network – Residential (N01)

3.1.1 Terms and Conditions

MSATS Code AURESGEN

This tariff is for low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

Farm outbuildings may be connected on this tariff provided that the connection is through the meters for the farm residence.

A Type 6 meter is required for installations on this tariff.

3.1.2 Rates

Table 4 Proposed Tariff Rates and Charges for Period 2 - N01

N01 Tariff Charge	Period 2	Period 1	%Change
DUoS Charge			
Daily Charge (c/day)	34.534	31.976	8.00%
First 500kWh per Quarter (c/kWh)	7.010	6.491	8.00%
Next 1000kWh per Quarter (c/kWh)	6.902	6.450	7.01%
Remaining Consumption (c/kWh)	5.486	4.987	10.01%
TUoS Charge			
First 500kWh per Quarter (c/kWh)	2.799	2.685	4.25%
Next 1000kWh per Quarter (c/kWh)	2.127	2.041	4.21%
Remaining Consumption (c/kWh)	2.127	2.041	4.21%
Meter Charge			
Daily Charge (c/day)	7.380	7.110	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	41.914	39.086	7.24%
First 500kWh per Quarter (c/kWh)	9.809	9.176	6.90%
Next 1000kWh per Quarter (c/kWh)	9.029	8.491	6.34%
Remaining Consumption (c/kWh)	7.613	7.028	8.32%

Table 5 Forecast Installation Numbers, Loads and Revenues for Period 2 - N01

Forecast Installation Numbers	Period 2	Period 1
Customer (installation) days in period	70,407,588	34,748,365
Forecast Loads		
First 500kWh per Quarter (kWh)	338,086,082	144,284,464
Next 1000kWh per Quarter (kWh)	357,357,096	152,507,997
Remaining Consumption (kWh)	151,288,347	64,564,782
Expected Revenue		
Daily Charge	29,510,636	13,581,746
First 500kWh per Quarter	33,162,864	13,239,542
Next 1000kWh per Quarter	32,265,772	12,949,454
Remaining Consumption	11,517,582	4,537,613
Total	106,456,854	44,308,355

3.1.3 Variations Since P1

The tariff rates were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. The extra increase in the third step of the consumption is part of the strategy to align the General Network Tariffs N01 and N02 (see Section 6.2 of the NTS for discussion on this point).

3.1.4 Future Variations

It is planned that the rates and charging elements of this Network Tariff and the General Network – Business tariff (N02) will be aligned between Period 2 and Period 5. This is in line with the NTS (see Section 6.2).

3.2 LV General Network – Business (N02)

3.2.1 Terms and Conditions

MSATS Code AUBLVGEN

This is the basic, LV Network Tariff for installations that are not private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

A Type 6 meter is required for installations on this tariff.

3.2.2 Rates

Table 6 Proposed Tariff Rates and Charges for Period 2 - N02

N02 Tariff Charge	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	34.534	31.976	8.00%
First 500kWh per Quarter (c/kWh)	7.883	7.805	0.00%
Remaining Consumption (c/kWh)	4.299	3.838	12.01%
TUoS Charge			
First 500kWh per Quarter (c/kWh)	3.134	3.006	4.26%
Remaining Consumption (c/kWh)	3.134	3.006	4.26%
Meter Charge			
Daily Charge (c/day)	10.686	10.295	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	45.220	42.271	6.98%
First 500kWh per Quarter (c/kWh)	11.017	10.811	1.18%
Remaining Consumption (c/kWh)	7.433	6.844	8.61%

Table 7 Forecast Installation Numbers, Loads and Expected Revenue – N02

Forecast Installation Numbers	Period 2	Period 1
Customer (installation) days in period	13,375,973	7,992,588
Forecast Loads		
First 500kWh per Quarter (kWh)	52,676,388	41,988,823
Remaining Consumption (kWh)	750,143,929	389,632,863
Expected Revenue		
Daily Charge	6,048,615	3,378,547
First 500kWh per Quarter	5,803,358	4,539,412
Remaining Consumption	55,758,198	26,666,473
Total	67,610,171	34,584,431

3.2.3 Variations Since P1

The overall tariff escalation rates were generally varied in line with the strategy discussed in Section 5.1 of this Pricing Proposal. The first consumption step was held constant as part of the strategy to bring the two General Network tariffs N01 & N02 into line, as per Section 6.2 of the NTS. The second consumption step was adjusted as per Section 5.1 of this Pricing Proposal to ensure correct recovery of Aurora revenue. The net effect is an increase of around 8%.

3.2.4 Future Variations

It is planned that the rates and charging elements of this Network Tariff and the General Network – Residential tariff (N01) will be aligned between Period 2 and Period 5. This is in line with the NTS (see Section 6.2).

Aurora intends to introduce LV load management tariffs during this Regulatory Period to provide Commercial operators with alternative Network Tariffs to recognise and provide incentive for them to manage their demand on the distribution network (see Sections 6.3 & 6.4 of the NTS for further details). There is already a Metered Demand Network Tariff (N03) that is available for this purpose. An indicative cross-over analysis of N02 and N03 is provided in Section 7.4.1.

3.3 LV General Network – Business - Nursing Homes (N02a)

This tariff was inadvertently discontinued for Period 1. Aurora intends to reintroduce this tariff for Period 2, restoring the rates to approximately those which would have been applicable had the tariff not been deleted. For discussion, see Section 6.6 of the NTS.

3.3.1 Terms and Conditions

MSATS Code AUNLVGEN

This LV Network Tariff is applicable only to those businesses registered as Aged Care facilities.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

A Type 6 meter is required for installations on this tariff.

This tariff is obsolete, with no new connections allowed from 1 July 2008. Customers who choose to transfer off any one obsolete tariff for an installation will lose all rights to all obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

3.3.2 Rates

Table 8 Proposed Tariff Rates and Charges for Period 2 - N02a

N02a Tariff Rates	Period 2	Period 1	%Change
DUoS Charge			
Daily Charge (c/day)	32.911	31.976	8.00%
First 500kWh per Quarter (c/kWh)	6.987	7.805	-17.73%
Remaining Consumption (c/kWh)	3.144	3.838	-24.73%
TUoS Charge			
First 500kWh per Quarter (c/kWh)	2.519	3.006	4.26%
Remaining Consumption (c/kWh)	1.871	3.006	4.26%
Meter Charge			
Daily Charge (c/day)	10.686	10.295	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	43.597	42.271	6.98%
First 500kWh per Quarter (c/kWh)	9.506	10.811	-11.62%
Remaining Consumption (c/kWh)	5.015	6.844	-12.00%

Table 9 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N02a

N02a	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	37,778	n/a
Forecast Loads		
First 500kWh per Quarter (kWh)	198,802	n/a
Remaining Consumption (kWh)	39,780,287	n/a
Expected Revenue		
Daily Charge	16,470	n/a
First 500kWh per Quarter	18,898	n/a
Remaining Consumption	1,994,981	n/a
Total	2,030,349	n/a

3.3.3 Variations Since P1

The rate for this tariff was adjusted to correct for the omission in Period 1. The DUoS components were increased at a rate of around 6% above the preferred value of 4%. These issues are discussed in Section 2.1.1 of this Pricing Proposal, and are in line with Section 6.6 of the NTS.

3.3.4 Future Variations

The 2005 Report indicated that Aurora intended to make this Network Tariff obsolete by 2009, noting that: “Nursing homes generally use much of their energy during off-peak periods and may be better serviced by the Business ToU tariff.” To this end, with the approval of the Regulator in the 2003 Determination, Aurora began to align the N02a and N02 tariffs, by increasing the N02a tariff at a rate of CPI + 6% per annum. This is discussed further in Section 6.6 of the NTS.

Aurora intends to introduce LV Time of Use and LV Demand Tariffs (see the NTS Sections 6.3 & 6.4) in Period 3, which should provide attractive alternative tariffs for nursing home operators. There is already a Metered Demand Network Tariff (N03) that is available for this purpose.

3.4 LV General Network – Business - Same Curtilage (N02b)

Aurora’s distribution business has assumed responsibility for this tariff from Aurora’s retail business (see Section 6.7 of the NTS for a discussion of this).

3.4.1 Terms and Conditions

MSATS Code TBA

This tariff is for rural customers having a single LV connection point but requiring more than one meter due to site layout.

The single connection point must supply an installation qualifying for, and being supplied on the General Network - Residential tariff N01.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

This tariff is obsolete, with no new connections allowed from 1 July 2008.

Customers who choose to transfer off any one obsolete tariff for an installation will lose all rights to all obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

A Type 6 meter is required for installations on this tariff.

3.4.2 Rates

Table 10 Proposed Tariff Rates and Charges for Period 2 - N02b

N02b Tariff Rates	Period 2	Period 1	%Change
DUoS Charge			
Daily Charge	0.000	31.976	-100.00%
First 500kWh per Quarter	7.883	7.805	0.00%
Remaining Consumption	4.299	3.838	12.00%
TUoS Charge			
First 500kWh per Quarter	3.134	3.006	4.00%
Remaining Consumption	3.134	3.006	4.00%
Meter Charge			
Daily Charge	10.686	10.295	4.00%
Total Charge (NUoS)			
Daily Charge	10.686	42.271	-75.00%
First 500kWh per Quarter	11.017	10.811	1.00%
Remaining Consumption	7.433	6.844	9.00%

Table 11 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N02b

N02b	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	1,883,035	n/a
Forecast Loads		
First 500kWh per Quarter (kWh)	4,552,924	n/a
Remaining Consumption (kWh)	9,447,076	n/a
Expected Revenue		
Daily Charge	201,221	n/a
First 500kWh per Quarter	501,596	n/a
Remaining Consumption	702,201	n/a
Total	1,405,018	n/a

3.4.3 Variations Since P1

The rate for this tariff was adjusted to correct for the omission in Period 1. These issues are discussed in Section 6.7 of the NTS.

3.4.4 Future Variations

Aurora intends to phase out this tariff over 10 years, as discussed in Section 6.7 of the NTS.

3.5 LV Aurora Pay As You Go (N13)

3.5.1 Terms and Conditions

MSATS Code AUPAYG

This tariff supports the *Aurora Pay As You Go* product offered by Aurora Retail, and is not to be used for any other application.

This tariff is for single phase low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

This tariff may not be used in conjunction with any other Network Tariff.

3.5.2 Rates

Table 12 Proposed Tariff Rates and Charges for Period 2 - N13

N13	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	33.302	30.835	8.00%
All Energy (c/kWh)	3.584	3.258	10.01%
TUoS Charge			
All Energy (c/kWh)	1.955	1.872	4.43%
Total Charge (NUoS)			
Daily Charge (c/day)	33.302	30.835	8.00%
All Energy (c/kWh)	5.539	5.130	7.97%

Note that there is no meter charge component, as Aurora's regulated distribution business does not own the meters for tariff N13 customers.

Table 13 Forecast Installation Numbers, Loads and Revenues for Period 2 - N13

N13	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	15,825,305	7,810,270
Forecast Loads		
All Energy (kWh)	422,669,645	167,168,056
Expected Revenue		
Daily Charge	5,270,143	2,408,297
All Energy	23,411,672	8,575,721
Total	28,681,815	10,984,018

3.5.3 Variations Since P1

The overall tariff escalation rates were varied as per the strategy presented in Section 5.1. The energy rate was increased in line with the variation strategy presented in Section 5.1 of this Pricing Proposal. The energy rate was increased by an extra 2% to recognise that the customers on this tariff place similar demands on the distribution network as customers on tariffs N01 and N02, both of which tariffs attract a larger energy rate.

3.5.4 Future Variations

This tariff will be made obsolete on the introduction of a suitable, LV TOU Network Tariff (see NTS Section 6.8). This will allow other retailers to offer a prepayment retail tariff should they wish.

When this tariff becomes obsolete, existing *Aurora Pay As You Go* installations will continue to be charged under this tariff, but new prepayment installations will not receive this tariff.

There will be public consultation, in line with the NTS, prior to the introduction of the replacement tariff.

3.6 *LV Aurora Pay As You Go (N13a)*

3.6.1 Terms and Conditions

MSATS Code TBA

This tariff supports the *Aurora Pay As You Go* product offered by Aurora Retail, and is not to be used for any other application. This tariff is a subset of Network Tariff N13 and has been introduced to facilitate the introduction of new technology requiring the use of an Aurora Network provided meter. This tariff therefore introduces an additional meter charge.

This tariff is for single phase low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

This tariff may not be used in conjunction with any other Network Tariff.

3.6.2 Rates

Table 14 Proposed Tariff Rates and Charges for Period 2 - N13a

N13a	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	33.302		
All Energy (c/kWh)	3.584		
TUoS Charge			
All Energy (c/kWh)	1.955		
Meter Charge			
Daily Charge	8.934		
Total Charge (NUoS)			
Daily Charge (c/day)	42.236		
All Energy (c/kWh)	5.539		

3.6.3 Variations Since P1

The overall tariff escalation rates were varied as per the strategy presented in Section 5.1. The energy rate was increased in line with the variation strategy presented in Section 5.1 of this Pricing Proposal. The energy rate was increased by an extra 2% to recognise that the customers on this tariff place similar demands on the distribution network as customers on tariffs N01 and N02, both of which tariffs attract a larger energy rate.

3.6.4 Future Variations

This tariff will be made obsolete on the introduction of a suitable, LV TOU Network Tariff (see NTS Section 6.8). This will allow other retailers to offer a prepayment retail tariff should they wish.

When this tariff becomes obsolete, existing *Aurora Pay As You Go* installations will transfer to the replacement LV TOU Network Tariff.

There will be public consultation, in line with the NTS, prior to the introduction of the replacement tariff.

3.7 LV Uncontrolled Energy (N05)

3.7.1 Terms and Conditions

MSATS Code AUHEATUNCO

3.7.1.1 General Conditions

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff:

- is for water heating and/or residential space heating and/or domestic indoor pool heating only.
- may only be used if the premises also has a current connection on tariff N01.

In installations that are not private residential dwellings, this tariff:

- is for water heating only.
- may only be used if the premises also has a current connection on Network Tariff N02 or N02a.

With the exception of thermal-storage space heaters or thermal-storage water heaters, this tariff N05 may not be applied to any apparatus also connected under another Network Tariff.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

A Type 6 meter is required for installations on this tariff.

3.7.1.2 Requirements of Water Heating Systems

In installations that are private residential dwellings, for connection on this tariff, the water heating systems must:

- comply with Australian Standard 1056, Storage Water Heaters; and
- if the delivery rating of the water heating system is less than or equal to 500 litres, have an electric heating unit rating not exceeding 16 Watts per litre; or
- if the delivery rating of the water heating system is greater than 500 litres, have an electric heating unit rating not exceeding 32 Watts per litre.

Where a private residential installation has a water storage heater installed, and the delivery rating is greater than 20 litres but less than 100 litres, the limit of 16 Watts per litre may be exceeded by that individual water storage heater. Only one water storage unit, with a delivery rating between 20 and 100 litres, that exceeds the 16 Watts per litre may be installed at a private residential dwelling.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems must:

- comply with Australian Standard 1056, Storage Water Heaters; and
- if the delivery rating of the water heating system is less than or equal to 500 litres, have an electric heating unit rating not exceeding 16 Watts per litre; or
- if the delivery rating of the water heating system is greater than 500 litres, have an electric heating unit rating not exceeding 32 Watts per litre.

Where a non-private residential installation has two or more water storage heaters installed, and the combined delivery rating is greater than 500 litres, the limit of 32 Watts per litre may be exceeded by an individual water storage heater provided that the ratio of the total wattage of all the water heating units to the total delivery rating does not exceed 32 Watts per litre.

Dairy water heaters containing main and booster heating units may have both heating units connected under this tariff.

Dairy water heaters are not required to comply with the Australian Standard 1056.

The electric heating unit ratings do not apply to Dairy water heaters.

3.7.1.3 Requirements of Residential Space Heating Systems

Permanently installed wired-in electric heater(s) may be eligible with this tariff on condition that the wiring of any electric heater is installed by a registered electrician in accordance with AS 3000 wiring rules and associated regulations and acts, and one of the following conditions are met:

- (i) If a residence has a permanently installed wired-in electric heater with an output of 3.5 kW in a living area, on a single functional switch then this, and any additional permanently wired space heaters throughout the residence, may be installed on this tariff.
- (ii) A total rating of at least 5 kW of the same heating system installed throughout the residence. This heating system must be the priority heating system of the main living area and must have a single functional switch in each heated area throughout the residence. However where a ducted heating system is installed, the control switch must be located near the heating unit in order to qualify for this tariff.
- (iii) Heating in secondary areas such as bedrooms and hallways if the residence has Off Peak storage heating in the living area(s) as its priority source of heating. The secondary heating system should be a permanently connected single propriety heating system with a total of 5 kW or more heating capacity.

3.7.1.4 Requirements of Domestic Indoor Pool Heating Systems

Private domestic indoor swimming pools are allowed under Tariff N05 if an installation:

- (i) complies with the residential space heating system rules as provided above; and
- (ii) has an electrical input power limit of 400 watt/m² of surface area.

This tariff will be applied following an electrical works request to Aurora from an electrical contractor. Upon receipt of the electrical works request, the tariff will be applied to a customer's account from the date the meter was changed or the day after the last quarterly read, whichever is the later.

Spas are not eligible for Network Tariff N05

3.7.2 Rates

Table 15 Proposed Tariff Rates and Charges for Period 2 - N05

N05	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	3.708	3.402	8.99%
All Energy (c/kWh)	1.233	1.121	9.99%
TUoS Charge			
All Energy (c/kWh)	1.666	1.587	4.98%
Meter Charge			
Daily Charge (c/day)	7.327	7.059	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	11.035	10.461	5.49%
All Energy (c/kWh)	2.899	2.708	7.05%

Table 16 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N05

N05	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	64,962,883	31,617,578
Forecast Loads		
All Energy (kWh)	901,810,178	324,171,399
Expected Revenue		
Daily Charge	7,168,654	3,307,515
All Energy	26,143,477	8,778,561
Total	33,312,131	12,086,076

3.7.3 Variations Since P1

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal, with the premium increase to recognise the size of the load that N05 customers place on the distribution network.

3.7.4 Future Variations

Aurora intends to introduce an LV ToU tariff at some time during this Regulatory period (see Section 6.3 of the NTS). It is envisaged that customers currently on N05 will be transferred, in due course, to this new tariff, which will provide benefits to those customers who can manage their load. Public consultation will be held prior to the proposed introduction of new tariffs.

3.8 *LV Controlled Heating (N06)*

3.8.1 Terms and Conditions

MSATS Code AUHEATCONT

3.8.1.1 General Conditions

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff :

- is for water heating and/or residential space heating and/or other “wired in” appliances as approved by Aurora Network.
- may be used for heating swimming pools, including those that incorporate a spa. Note that an individual spa from which the water goes to waste after use may not be connected on this tariff.
- may only be used if the premises also has a current connection on tariff N01.

In installations that are not private residential dwellings, this tariff:

- is for water heating and/or space heating and/or other “wired in” appliances as approved by Aurora Network.
- may only be used if the premises also has a current connection on Network Tariff N02, N02a.

With the exception of thermal-storage space heaters or thermal-storage water heaters, this tariff N06 may not be applied to any apparatus also connected under another Network Tariff.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

In all installations, this tariff N06 may not be used for circuits supplying general purpose outlets, other than existing outlets supplied on this tariff.

A Type 6 meter is required for installations on this tariff.

3.8.1.2 Time of Use Availability

This tariff is a “time of use” tariff. Energy to installations connected on this tariff will be available daily for:

- at least nine hours between 20:00 hours and 07:00 hours the following day; and
- a further two hours between 13:00 hours and 16:30 hours.

Aurora Network will choose the actual times during these periods that the energy will be available.

3.8.1.3 Requirements of Water Heating Systems

In installations that are private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.8.2 Rates

Table 17 Proposed Tariff Rates and Charges for Period 2 - N06

N06	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	6.490	5.954	9.00%
All Energy (c/kWh)	0.314	0.288	9.03%
TUoS Charge			
All Energy (c/kWh)	0.470	0.451	4.21%
Meter Charge			
Daily Charge (c/day)	7.528	7.252	3.81%
Total Charge (NUoS)			
Daily Charge (c/day)	14.018	13.206	6.15%
All Energy (c/kWh)	0.784	0.739	6.09%

Table 18 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N06

N06	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	9,948,258	4,909,615
Forecast Loads		
All Energy (kWh)	144,012,660	65,490,103
Expected Revenue		
Daily Charge	1,394,547	648,364
All Energy	1,129,059	483,972
Total	2,523,606	1,132,336

3.8.3 Variations Since P1

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal, with the premium increase to recognise the size of the load that N06 customers place on the distribution network.

3.8.4 Future Variations

Aurora intends to introduce an LV ToU tariff at some time during this Regulatory period (see Section 6.3 of the NTS). It is envisaged that customers currently on N06 will be transferred, in due course, to this new tariff, which will provide benefits to those customers who can manage their load. Public consultation will be held prior to the proposed introduction of new tariffs.

3.9 *LV Demand – kW (N03) - Obsolete*

MSATS Code AUBLVDMKW

3.9.1 Terms and Conditions

This tariff is for installations taking LV 3-phase supply.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

This tariff is obsolete with no new connections allowed. The replacement LV demand tariff is N09.

Note that customers that choose to transfer off any one obsolete tariff for an installation will lose all rights to all obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

A Type 6 meter is required for installations on this tariff.

3.9.2 Rates

Table 19 Proposed Tariff Rates and Charges for Period 2 - N03

N03	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	109.931	99.937	10.00%
All Energy Charge (c/kWh)	1.647	1.497	10.02%
First 250kW demand per month (c/kW/day)	33.352	30.320	10.00%
Additional Demand (c/kW/day)	27.204	24.731	10.00%
TUoS Charge			
All Energy Charge	0.731	0.700	4.43%
First 250kW demand per month (c/kW/day)	12.171	11.655	4.43%
Additional Demand (c/kW/day)	9.928	9.507	4.43%
Meter Charge			
Daily Charge (c/day)	13.740	13.237	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	123.671	113.174	9.28%
All Energy Charge (c/kWh)	2.378	2.197	8.24%
First 250kW demand per month (c/kW/day)	45.523	41.975	8.45%
Additional Demand (c/kW/day)	37.132	34.238	8.45%

Table 20 Forecast Installation Numbers, Loads and Expected Revenue for Period 2 - N03

N03	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	155,490	76,650
Forecast Loads		
All Energy (kWh)	206,171,285	100,492,861
First 250kW Demand (kW days)	14,543,802	7,089,000
Additional Demand (kW days)	6,028,081	2,938,232
Expected Revenue		
Daily Charge	192,296	86,748
All Energy	4,902,753	2,207,828
First 250kW Demand	6,620,775	2,975,608
Additional Demand	2,238,347	1,005,992
Total	13,954,172	6,276,176

3.9.3 Variations Since P1

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.9.4 Future Variations

Aurora intends to transition all existing installations on this tariff to Network Tariff N09. This accords with the NTS (Section 6.4), and was proposed in the 2005 Report (Section 6.1). Aurora will work with affected customers to minimise the impacts due to transferral.

3.10 LV Metered Demand (kVA) Tariff (N09)

3.10.1 Terms and Conditions

MSATS Code AUBLVDMKVA

This tariff is only for installations taking LV 3-phase supply.

There are no restrictions on the use of the supply; that is, electricity taken on this tariff may be used for general power, heating, water heating, etc..

A Type 6 meter is required for installations on this tariff.

3.10.2 Rates

Table 21 Proposed Tariff Rates and Charges for Period 2 - N09

N09	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	168.534	162.052	4.00%
All Energy Charge (c/kWh)	1.381	1.255	10.04%
First 250kVA Demand (c/kVA/day)	20.570	18.700	10.00%
Additional Demand (c/kVA/day)	18.543	16.857	10.00%
TUoS Charge			
All Energy Charge (c/kWh)	0.658	0.630	4.44%
First 250kVA Demand (c/kVA/day)	15.295	14.643	4.45%
Additional Demand (c/kVA/day)	13.784	13.199	4.43%
Meter Charge			
Daily Charge (c/day)	13.740	13.237	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	182.274	175.289	3.98%
All Energy Charge (c/kWh)	2.039	1.885	8.17%
First 250kVA Demand (c/kVA/day)	35.865	33.343	7.56%
Additional Demand (c/kVA/day)	32.327	30.056	7.56%

Table 22 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N09

N09	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	134,320	66,248
Forecast Loads		
All Energy (kWH)	359,996,061	175,470,770
First 250kVA Demand (kVA days)	23,053,263	11,236,717
Additional Demand (kVA days)	11,647,018	5,677,038
Expected Revenue		
Daily Charge	244,830	116,125
All Energy	7,340,320	3,307,624
First 250kVA Demand	8,268,053	3,746,659
Additional Demand	3,765,131	1,706,290
Total	19,618,335	8,876,698

3.10.3 Variations Since P1

The rates for this tariff were generally varied in line with the strategy presented in Section 5.1 of this Pricing Proposal. DUoS standing daily charge, was reduced at a lesser rate than the strategy to ensure cost reflectivity.

3.10.4 Future Variations

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff. Aurora does plan to introduce an LV ToU tariff during this regulatory period, which may provide an attractive alternative to this tariff N09. In the event that changes are to be implemented, Aurora will undertake a public consultation in line with the Network Tariff Strategy.

3.11 LV Day/Night (Irrigation) Tariff (N08)

3.11.1 Terms and Conditions

MSATS Code AUIRRIG

This Network Tariff is for primary producers' business installations that are used solely for the irrigation of crops, which must be classified as ANZSIC class 01.

A Type 6 meter is required for installations on this tariff.

3.11.2 Time of Use Availability

This tariff is a simple "time of use" tariff, with different rates for "peak" and "off-peak" consumption.

The off-peak rate will be available daily for not less than ten hours between 2000 hours and 0700 hours the following day. In general, the “window” will be of 10 hour’s duration. Subject to network constraints and at the discretion of Aurora, an 11 hour window may be available upon request.

To provide a “staggered start” to ensure distribution network stability, the off-peak window for individual customers will start between 20:00 and 21:00, and end between 06:00 and 07:00 the following day.

Aurora will arrange the start and finish times.

All times are in Australian Eastern Standard Time.

3.11.3 Rates

Table 23 Proposed Tariff Rates and Charges for Period 2 - N08

N08	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	165.952	161.904	2.50%
Day Energy Charge (c/kWh)	8.223	7.475	10.01%
Night Energy Charge (c/kWh)	1.119	1.017	10.03%
TuoS Charge			
Day Energy Charge (c/kWh)	2.281	2.184	4.44%
Night Energy Charge (c/kWh)	0.570	0.546	4.40%
Meter Charge			
Daily Charge (c/day)	13.412	12.921	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	179.364	174.825	2.60%
Day Energy Charge (c/kWh)	10.504	9.659	8.75%
Night Energy Charge (c/kWh)	1.689	1.563	8.06%

Table 24 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N08

N08	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	999,188	493,115
Forecast Loads		
Day Energy (kWh)	40,162,442	19,576,144
Night Energy (kWh)	57,484,510	28,019,338
Expected Revenue		
Daily Charge	1,792,183	862,088
Day Energy	4,218,663	1,890,860
Night Energy	970,913	437,942
Total	6,981,759	3,190,890

3.11.4 Variations

The rates for this tariff were generally varied in line with the strategy presented in Section 5.1 of this Pricing Proposal. The daily charge of the DUoS component was increased at a lower rate to provide more cost reflectivity.

3.11.5 Future Variations

Aurora intends to introduce a LV ToU and LV Specified Demand tariffs during the course of this Regulatory period (see Sections 6.3 & 6.4 of the NTS). These demand management incentive Network Tariffs will provide an attractive alternative to the current N08. The currently available LV Metered Demand (kVA) tariff N09 may also be a viable alternative to this tariff N08. depending upon individual user's usage patterns. Aurora will hold public consultations before the introduction of any new tariff.

3.12 LV Small Unmetered (N07)

3.12.1 Terms and Conditions

MSATS Code AUUMS

This tariff is for small, LV, low demand installations with a relatively constant load profile. For example:

- illuminated street signs;
- public telephone kiosks;
- electric fences;
- two-way radio transmitters;
- fixed steady wattage installations;
- traffic lights; and
- level crossings.

All installations on this tariff must have all components permanently connected. For the avoidance of doubt, an installation containing a power point does not qualify for this Network Tariff.

Exception: Shows & public functions qualify for this tariff N07. Shows and public functions on this tariff may have installed power points.

3.12.2 Rates

Table 25 Proposed Tariff Rates and Charges for Period 2 - N07

N07	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	25.901	24.330	6.45%
All Energy Charge (c/kWh)	10.622	10.213	4.00%
TUoS Charge			
All Energy Charge (c/kWh)	1.953	1.870	4.44%
Total Charge (NUoS)			
Daily Charge (c/day)	25.901	24.330	6.45%
All Energy Charge (c/kWh)	12.575	12.083	4.07%

Table 26 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N07

N07	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	144,905	71,540
Forecast Loads		
All Energy (kWh)	382,401	186,392
Expected Revenue		
Daily Charge	37,531	17,406
All Energy	48,087	22,522
Total	85,618	39,927

3.12.3 Variations

The components within this tariff were varied at a much lower rate than that presented in Section 5.1 of this Pricing Proposal to acknowledge the relatively small load placed upon the distribution network by these customers.

3.12.4 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.13 HV Demand kW (N11) – Obsolete

3.13.1 Terms and Conditions

MSATS Code AUBHVDMKW

This tariff is for customers taking HV supply.

There are no restrictions on the use of the supply.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

This tariff is obsolete; no new connections are allowed on this tariff.

Customers who choose to transfer off any one obsolete tariff for an installation will lose all rights to all obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

3.13.2 Rates

Table 27 Proposed Tariff Rates and Charges for Period 2 - N11

N11 Network Tariff Rates	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	104.846	96.189	9.00%
All Energy Charge (c/kWh)	0.097	0.088	10.23%
Demand Charge (c/kW/day)	23.937	21.961	9.00%
TUoS Charge			
All Energy Charge (c/kWh)	1.053	1.008	4.46%
Monthly Demand Charge (c/kW/day)	1.603	1.535	4.43%
Meter Charge			
Daily Charge (c/day)	59.979	57.783	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	164.825	153.972	7.05%
All Energy Charge (c/kWh)	1.150	1.096	4.93%
Monthly Demand Charge (c/kW/day)	25.540	23.496	8.70%

Table 28 Forecast Installation Numbers, Loads and Expected Revenues for Period 2 - N11

N11	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	9,125	4,380
Forecast Loads		
All Energy (kWh)	113,389,065	42,572,407
Demand (kW days)	8,888,582	3,380,164
Expected Revenue		
Daily Charge	15,040	6,744
All Energy	1,303,974	466,594
Demand	2,270,144	794,203
Total	3,589,158	1,267,541

3.13.3 Variations

The rates for this tariff were varied generally in line with the strategy presented in Section 5.1 of this Pricing Proposal, with variations to accommodate the “fine tuning” aspects of the strategy.

3.13.4 Future Variations

This tariff is obsolete, as discussed in Sections 6.3 & 6.4 of the NTS.

Over the course of this Regulatory period, Aurora intends to transition installations on this tariff to either N10, a proposed HV Specified Demand Tariff, or one of the proposed HV TOU tariffs.

Aurora will work with affected customers to minimise the impacts of transferring to a new tariff.

3.14 HV Demand kVA (N10)

3.14.1 Terms and Conditions

MSATS Code AUBHCDMKVA

This tariff is for customers taking HV 3-phase supply.

There are no restrictions on the use of the supply; that is, the electricity may be used for general power, heating, water heating, etc..

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

3.14.2 Rates

Table 29 Proposed Tariff Rates and Charges for Period 2 - N10

N10	Period 2	Period 1	% Change
DUoS Charge			
Daily Charge (c/day)	115.448	106.896	8.00%
All Energy Charge (c/kWh)	0.086	0.078	10.26%
Monthly Demand Charge (c/kVA/day)	18.919	17.199	10.00%
TUoS Charge			
All Energy Charge (c/kWh)	1.006	0.963	4.47%
Monthly Demand Charge (c/kVA/day)	1.532	1.467	4.43%
Meter Charge			
Daily Charge (c/day)	59.979	57.783	3.80%
Total Charge (NUoS)			
Daily Charge (c/day)	175.427	164.679	6.53%
All Energy Charge (c/kWh)	1.092	1.041	4.90%
Monthly Demand Charge (c/kVA/day)	20.451	18.666	9.56%

Table 30 Forecast Installation Numbers, Loads and Revenues for Period 2 - N10

N10	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	22,813	8,395
Forecast Loads		
All Energy (kWh)	376,171,155	192,079,394
Demand (kVA days)	27,331,812	14,116,871
Expected Revenue		
Daily Charge	40,019	13,825
All Energy	4,107,789	1,999,546
Demand	5,589,629	2,635,055
Total	9,737,437	4,648,426

3.14.3 Variations

The rates for this tariff were varied generally in line with the strategy presented in Section 5.1 of this Pricing Proposal. Variations were applied in-line with the “fine tuning” aspect of this strategy.

3.14.4 Future Variations

Aurora intends to introduce new HV ToU and HV Specified Demand tariffs, with a long-term aim of replacing this tariff. For more discussion of this, see Sections 6.3 & 6.4 of the NTS. Aurora will undertake public consultation as per the NTS prior to the introduction of the new tariffs.

3.15 HV Specified Demand, > 2MVA (N15)

3.15.1 Terms and Conditions

MSATS Code AUCHVDM2

This tariff applies to contestable customers, with a demand in excess of 2 MVA, supplied directly from the Aurora distribution network, with no Aurora Network-owned assets beyond the connection point.

Customers who become contestable under the Electricity Supply Industry (Contestable Customer) Regulations 2005 will move to this tariff.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

3.15.1.1 Negotiation of “Specified Demand”

Customers on Network Tariff N15 are able to agree with Aurora a “Specified Demand” for their electrical installation.

Once agreed this value is used in the calculation of NUoS charges for the following period of no less than twelve months.

Negotiation of “Specified Demand” for subsequent periods should be completed at least two months prior to the end of the last negotiated period.

Renegotiation of specified demand is limited to one occurrence each twelve months or as otherwise agreed with Aurora.

3.15.2 Rates

Table 31 Proposed Tariff Rates and Charges for Period 2 - N015

N15	Period 2	Period 1	% Change
DUoS			
Daily Charge (\$/day)	15.630	15.000	4.20%
Specified Demand Charge (c/kVA/day)	7.081	6.796	4.19%
Excess Demand Charge (c/kVA/day)	21.244	20.388	4.20%
Peak Energy Charge (c/kWh)	1.126	1.081	4.16%
Shoulder Energy (c/kWh)	0.305	0.293	4.10%
Off-Peak Energy (c/kWh)	0.039	0.037	5.41%
Connection			
Specified Demand Charge (c/kVA/day)	0.257	0.247	4.05%
Excess Demand Charge (c/kVA/day)	0.772	0.741	4.18%
Meter Charge (if applicable)			
Daily Charge (c/day)	59.979	57.783	3.80%
Transmission Charge			
Demand Charge (c/kVA/day)	nodal charge	nodal charge	
Excess Demand Charge (c/kVA/day)	3 x nodal charge	3 x nodal charge	

Table 32 Forecast Installations, Loads and Revenues for Period 2 - Tariff N15

N15	Period 2	Period 1
Forecast Installation Numbers		
Customer (installation) days in period	365	183
Forecast Loads		
Specified Demand (kVA days)	1,843,250	921,625
Excess Demand (kVA days)	61,442	30,721
Peak Energy (kWh)	6,045,790	3,022,895
Shoulder Energy (kWh)	7,254,949	3,627,474
Off-Peak Energy (kWh)	12,091,581	6,045,790
DUoS & Connection Expected Revenue		
Daily charge	5,705	2,738
All Energy	94,919	45,543
Specified Demand Charge	135,258	64,910
Excess Demand Charge	13,527	6,491
Meter Revenue (if applicable)		
Daily Charge	219	105
Total Revenue	249,627	119,787

3.15.3 Variations

Aurora chose to increase the rates for this tariff N15 by less than the general increases proposed in the strategy (see Section 5.1 of this Pricing Proposal) as there is currently only one customer on this tariff, and the demand placed upon the distribution network is adequately recovered through this tariff at present.

3.15.4 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.16 HV ITC Tariff

Individual Tariff Calculation Customer (ITC) network prices will typically apply to customers with an electrical demand in excess of 2.0 MVA, or where a customer's circumstances in a pricing zone identify the average shared network charge to be meaningless or distorted. Individually calculated customer network charges are determined by modelling the connection point requirements as requested by the customer or their agents.

ITC prices are based on actual Transmission Use of System (TUoS) charges for the relevant transmission connection point, plus charges associated with the actual shared distribution network utilised for the electricity supply, plus connection charges based on the actual connection assets utilised. This provides the greatest cost reflectivity for this type of customer and is feasible since the number of such customers is relatively small.

Cost allocation and rates are included in Attachment 1.

3.16.1 Terms and Conditions

Terms and conditions for these customers are contained within individually negotiated connection agreements.

3.16.2 Rates

Being negotiated between Aurora and individual customers, these are considered by Aurora to be “Commercial in Confidence”. They are supplied to the Regulator in a separate attachment.

3.16.3 Variations

Any variations to customers on this tariff are the subject of individual negotiation.

3.16.4 Future Variations

Any variations to customers on this tariff are the subject of individual negotiation.

3.17 *Street Lighting (N20)*

3.17.1 Terms and Conditions

This tariff is available to councils and road authorities.

There are no energy charges.

This tariff does not include charges for the installation and/or replacement of lamps. Costs for installation or replacement of lamps are an additional charge. At the time of writing, these rates were not yet finalised.

3.17.2 Rates

Table 33 Proposed Tariff Rates and Charges for Period 2 - N20

N20	Period 2	Period 1	% Change
DUoS Charge			
Demand Charge (c/lamp watt/day)	0.068	0.062	9.68%
TUoS Charge			
Demand Charge (c/lamp watt/day)	0.026	0.025	4.00%
Total Charge (NUoS)			
Demand Charge (c/lamp watt/day)	0.096	0.087	10.34%

Table 34 Forecast Installation Numbers and Revenues

N20	Period 2	Period 1
Forecast Installation Numbers		
Forecast total lamp wattage (W)	1,957,025,489	948,921,525
Expected Revenue		
Demand charge	1,878,744	825,562

Note: Does not include charges for light fitting. These are contained in a separate charge for street lighting.

3.17.3 Variations

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.17.4 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.18 Standard Transmission Charges

A number of customers, or groups of customers, may have a specially calculated tariff. As part of this tariff there will be a pass-through of the transmission charges arising from each customer's share of the load on the transmission system. These nodal connection charges are based upon demand, and vary according to the Transend terminal substation to which the customer is connected.

Table 35 Schedule of Transmission Charges 2008/09

Connection Site	TNI	Common Service Price (\$/MVA/mth)	TUoS General Charges (\$/MVA/mth)	TUoS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
Arthurs Lake	TAL2	1,363.41	939.62	1,292.05	2,346.85	\$5,941.93
Avoca	TAV2	1,363.41	939.62	1,430.11	3,479.29	\$7,212.43
Bridgewater	TBW2	1,147.89	791.09	842.54	1,597.51	\$4,379.03
Burnie	TBU3	1,363.41	939.62	897.81	1,157.08	\$4,357.92
Chapel St	TCS3	1,233.50	850.09	814.74	1,697.80	\$4,596.13
Creek Rd	TCR3	1,299.82	895.80	832.24	832.56	\$3,860.42
Derby	TDE2	1,171.05	807.05	3,253.07	5,412.02	\$10,643.19
Derwent Bridge	TDB2	669.91	461.68	585.55	23,898.60	\$25,615.74
Devonport	TDP2	1,363.41	939.62	1,080.50	1,557.68	\$4,941.21
Electrona	TEL2	1,291.00	889.75	1,818.01	1,911.53	\$5,910.29
Emu Bay	TEB2	1,224.17	839.46	839.46	2,123.94	\$5,027.03
George Town	TGT3	1,363.41	939.62	758.64	3,972.22	\$7,033.89
Hadspen	THA3	1,318.00	908.33	737.58	574.60	\$3,538.51
Kermandie	TKE2	1,363.41	939.62	1,893.40	5,744.42	\$9,940.85
Kingston	TKI2	1,102.63	759.90	1,044.13	1,072.58	\$3,979.24
Knights Rd	TKR2	1,363.41	939.62	1,453.29	2,420.25	\$6,176.57
Lindisfarne	TLF2	1,203.21	829.22	967.85	1,298.12	\$4,298.40

Network Pricing Proposal - Period 2

Connection Site	TNI	Common Service Price (\$/MVA/mth)	TUoS General Charges (\$/MVA/mth)	TUoS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
Meadowbank	TMB2	1,363.41	939.62	659.10	4,014.16	\$6,976.29
Mowbray	TMY2	939.55	647.51	617.77	494.64	\$2,699.47
New Norfolk	TNN2	1,363.41	939.62	1,033.25	2,039.70	\$5,375.98
Newton	TNT2	1,363.41	939.62	3,245.85	3,817.99	\$9,366.87
North Hobart	TNH2	1,199.93	826.96	1,234.55	848.85	\$4,110.29
Norwood	TNW2	1,143.66	788.18	769.15	715.66	\$3,416.65
Palmerston	TPM3	1,363.41	939.62	530.53	3,851.97	\$6,685.53
Port Latta	TPL2	1,327.22	914.68	1,685.56	2,420.16	\$6,347.62
Queenstown	TQT2	1,363.41	939.62	1,229.87	5,946.60	\$9,479.50
Railton	TRA2	1,363.41	939.62	825.37	893.49	\$4,021.89
Risdon	TRI2	1,175.81	810.33	908.99	1,055.18	\$3,950.31
Rokeby	TRK2	1,080.31	744.52	1,477.59	1,030.18	\$4,332.60
Rosebery	TRB2	1,158.81	798.60	606.51	2,807.13	\$5,371.05
Savage River	TSR2	1,045.98	720.86	1,142.80	2,164.10	\$5,073.74
Scottsdale	TSD2	1,363.41	939.62	2,758.51	3,275.25	\$8,336.79
Smithton	TST2	1,363.41	939.62	2,423.29	2,278.67	\$7,004.99
Sorell	TSO2	1,363.41	939.62	1,422.46	1,502.51	\$5,228.00
St Marys	TSM2	1,223.31	843.07	1,567.15	2,154.56	\$5,788.09
Trevallyn	TTR2	1,276.56	879.77	624.17	744.68	\$3,525.18
Triabunna	TTB2	1,105.73	762.04	1,424.55	5,523.62	\$8,815.94
Tungatinah	TTU2	1,363.41	939.62	478.96	36,664.75	\$39,446.74
Ulverstone	TUL2	1,363.41	939.62	1,015.75	1,089.39	\$4,408.17
Waddamana	TWA2	636.12	438.40	234.97	19,825.40	\$21,134.89
Wesley Vale	TWV2	753.98	519.44	710.25	3,103.13	\$5,086.80
Hobart (Virtual)	TVN1	1,217.26	838.90	994.53	1,064.71	\$4,115.40
Tamar (Virtual)	TVN2	1,209.78	833.74	692.09	1,013.69	\$3,749.30

Virtual transmission nodes have been developed for Hobart and Launceston due to the high level of inter-connectability of the transmission connection sites and the regular need to transfer loads within the distribution network.

Hobart (Virtual) is based on the following connection sites: Chapel St, Creek Rd, Lindisfarne, Nth Hobart, Risdon and Rokeby. Launceston (Virtual) is based on the Norwood, Trevallyn, Hadspen and George Town connection sites.

3.19 General Network Terms and Conditions

These General Network Terms and Conditions are applicable to all Network Tariffs.

3.19.1 Times

All times are given as Australian Eastern Standard Time.

3.19.2 Aurora's Obligation to Supply

Under Section 26(2) of the ESI Act, Aurora is not obliged to supply electricity to a customer if:

- (a) the supply would overload the power system or prejudice in some other way the supply of electricity to other customers; or
- (b) the supply would result in contravention of the conditions of the electricity entity's licence; or
- (c) the supply would result in risk of fire or some other risk to life or property; or
- (d) the supply is or needs to be interrupted –
 - (i) in an emergency; or
 - (ii) in circumstances beyond the electricity entity's control; or
 - (iii) for carrying out work on electricity infrastructure; or
 - (iv) to comply with a direction to the electricity entity under the ESI Act; or
- (e) the electricity entity is exempted from the obligation by regulation.

3.19.3 Customers' General Obligations

Aurora is obliged to place the following conditions upon customers under the TEC.

3.19.3.1 Use of Electricity

A Customer must not allow a supply of electricity to its electrical installation to be used other than at the Customer's premises nor will the Customer supply electricity so supplied to any other person without the prior approval of Aurora. [TEC 8.6.2(a)(1)]

A Customer must not take electricity supplied to another Customer's electrical installation by Aurora at the Customer's premises. [TEC 8.6.2(a)(8)]

3.19.3.2 Maintenance of Customers' Installations

A Customer must at its own expense, maintain the Customer's electrical installation in a safe condition to the satisfaction of its Distribution Network Service Provider [Aurora] or other relevant authority. [TEC 8.6.2(a)(5)]

3.19.3.3 Operation of Customers' Installation

A Customer must ensure that the Customer's electrical installation and any equipment within it (including protective equipment) are adequate, and

effectively co-ordinated at all times with the electrical characteristics of Aurora's distribution system. [TEC 8.6.2(a)(6)]

A Customer must use the electricity supplied to its electrical installation in a manner which, in the opinion of Aurora, does not interfere with the supply of electricity to other Customers' electrical installations or cause damage or interference to any third party. [TEC 8.6.2(a)(7)]

3.19.3.4 Protection of Aurora Assets

A Customer must not interfere or allow interference with any equipment of its Distribution Network Service Provider [Aurora] which is on the Customer's premises except as may be permitted by law. [TEC 8.6.2(a)(2)]

A Customer must provide and maintain on the Customer's premises any reasonable or agreed facility required by Aurora to protect any equipment of the Distribution Network Service Provider [Aurora]. [TEC 8.6.2(a)(4)]

3.19.3.5 Access

A Customer must at all times, make available to Aurora's officers or agents, together with their equipment, a safe, convenient and unhindered access to the equipment of the Distribution Network Service Provider [Aurora] on the Customer's premises for any purposes associated with the supply, metering or billing of electricity or the inspection and/or testing of the Customer's electrical installation, provided that official identification is produced by the officers or agents on request. The Customer must provide protective equipment to officers or agents of Aurora if that is necessary to ensure safe access to the Customer's premises. [TEC 8.6.2(a)(3)]

3.19.3.6 Compulsory Provision of Land

A Customer must if, in respect of an electrical installation, it has a maximum demand over 100 kVA must, if Aurora is unable to continue to satisfy that maximum demand without installing a new substation, sell or lease to Aurora the land upon which a new substation can be installed by Aurora in order to allow Aurora to satisfy that maximum demand. [TEC 8.6.2(b)]

3.19.3.7 Power Factor

A Customer must (unless otherwise agreed with its Distribution Network Service Provider) at all times keep the power factor of its electrical installation within the relevant range set out in Table 34. [TEC 8.6.3(a)]

Table 36 Power Factor Ranges

Supply Voltage (kV)	Power Factor range for Customer maximum demand and voltage					
	Up to 100 kVA		Over 100 kVA, less than 2 MVA		Over 2 MVA	
	Minimum Lagging	Minimum Leading	Minimum Lagging	Minimum Leading	Minimum Lagging	Minimum Leading
<1	0.75	0.80	0.80	0.80	0.85	0.85
1 - 6.6	0.75	0.80	0.80	0.80	0.90	0.90

6.6, 11, 22	0.80	0.80	0.85	0.85	0.90	0.90
33, 44, 66	0.85	0.85	0.90	0.90	0.95	0.95

3.19.3.8 Voltage Fluctuations

A Customer must ensure that the customer's equipment does not cause voltage fluctuations at the point of common coupling greater than the levels specified in AS/NZ 61000.3.5:1998 and AS/NZ 61000.3.7:2001 as appropriate. [TEC 8.6.9]

If two or more Customers' electrical installations are connected at the same point of common coupling, the maximum permissible contribution to voltage fluctuations allowable from each Customer is to be determined in proportion to their respective maximum demand, unless otherwise agreed. [TEC 8.6.9]

3.19.3.9 Provision of Planning Information

[TEC 8.8(a)] A Customer must supply, if requested, to Aurora or the Electricity Retailer as the case may be, details of loads connected or planned to be connected to Aurora's distribution system which Aurora requires for the purpose of planning its distribution system, including:

- (1) the location of the load in the distribution system;
- (2) existing loads;
- (3) existing load profile;
- (4) changes in load scheduling;
- (5) planned outages;
- (6) forecasts of load growth;
- (7) anticipated new loads;
- (8) anticipated redundant loads; and
- (9) the nature of any disturbing loads.

3.19.3.10 Vegetation Management

A Customer must, at its own expense, maintain safe clearances between vegetation on the Customer's property and electrical infrastructure providing supply to the Customer's electrical installation. [TEC 8.6.2(a)(9)]

3.19.4 Fallback

In the event that a customer is moved onto a Fallback Contract, the Network Tariffs for that customer's installation(s) affected by the move remains unchanged.

3.19.5 Demand Tariffs

3.19.5.1 Reassignment of Network Tariffs due to Increases in Electrical Demand

Where a customer requires a change in Network Tariff due to an increase in electrical demand at a connection point, the customer must submit a written request to Aurora Energy.

The increased level of electrical demand shall apply from the requested date or as near as possible thereafter, subject to any required works being completed by Aurora Energy.

Customers seeking tariff reassignment must remain on the reassigned tariff for a minimum twelve (12) month period.

Exceptions will only be made at Aurora Network's discretion where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on the customer.

Note: this condition prevents customers from changing tariffs to take advantage of seasonal variations in prices according to their individual load; thereby bypassing payment that reflects use of the distribution network over a full twelve (12) month cycle.

3.19.5.2 Reassignment of Network Tariffs due to Temporary Increases in Maximum Demand

- Temporary increases in electrical demand will:
 - Be subject to negotiation and approval by Aurora Energy.
 - Be defined in terms of "additional demand" for a specific period and charged at an agreed Demand Charge rate.
 - Apply for one full billing period, except in the case of commissioning of new plant, in which case the duration of the temporary increase may be extended for the duration of the commissioning period.
 - Be limited to one occurrence each twelve months or as otherwise agreed with Aurora Energy.

3.19.5.3 Reassignment of Network Tariffs due to Reductions in Maximum Demand

Where a customer requires a change in Network Tariff due to a reduction in electrical demand at their connection point, the customer must provide six months written advice to Aurora Energy detailing their new requirement.

Aurora Energy will notify the customer in writing within sixty days of receipt of the written advice, advising the revised NUoS charges and also any costs associated with the relocation of Aurora's assets at their site.

Following the installation by a customer of load management equipment approved by Aurora Energy or the implementation of a demand management initiative approved by Aurora Energy, the six month notice period referred to above may be reduced at the discretion of Aurora Energy.

Customers seeking tariff reassignment must remain on the reassigned tariff for a minimum twelve (12) month period.

Exceptions will only be made at Aurora Network's discretion where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on the customer.

Note: this condition prevents customers from changing tariffs to take advantage of seasonal variations in prices according to their individual load; thereby bypassing payment that reflects use of the distribution network over a full twelve (12) month cycle.

3.19.5.4 Calculation of Maximum Demand

Any tariff charges based upon the maximum demand of an installation are calculated using the maximum demand for the installation during the billing period. The maximum demand of an installation during a billing period is taken to be the largest value of the electrical demand for that installation during that billing period. The electrical demand of an installation for a "Demand Integration Period" is taken to be the energy consumption of that installation during the "Demand Integration Period" divided by the length of the "Demand Integration Period" measured in hours. Currently, the Demand Integration Period is 15 minutes.

3.19.5.5 Calculation of NUoS Charges for Specified Demand Tariffs

If the maximum demand is less than, or equal to, the specified demand, the daily charge for the entire billing period is the specified demand for the Billing Period multiplied by the specified demand charge rate.

If the maximum demand is greater than the specified demand, the daily charge for the entire billing period is the sum of:

- the specified demand for the billing period multiplied by the specified demand charge rate; and
- the difference between the specified demand for the billing period and the maximum demand for the billing period multiplied by the excess demand charge rate.

4 Adjustment Variables

This section is to address:

Guideline 2.3(d)(6): “A Network Tariff Pricing Proposal must...provide details of adjustment variables, including CPI, pass-through and other adjustments permissible under the 2007 Determination and transmission charges attributable to distribution connected customers for the period and an explanation of how each Network Tariff will be affected by the impact of the adjustment or adjustments...”

Guideline 2.3(d)(9): “A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination;”

The following sections detail the changes to the adjustment variables allowed in the 2007 Determination.

4.1 AARR Calculation Equation Variables

4.1.1 CPI Adjustments

The Regulator permits Aurora’s AARR to be indexed according to CPI in two ways: the inflation of the forecast maximum revenues, which were given in July 2006 dollars, by a Prescribed Inflationary Factor; and the inflation of adjustments from previous periods.

4.1.1.1 Prescribed Inflationary Factor

The value for the Prescribed Inflationary Factor is given in Section 3 of the Determination.

The CPI value for the quarter ending on the 30th of June, 2006 was 154.3.

The CPI value for the quarter ending on the 31st of December, 2007 was 160.1.

4.1.1.2 Inflation from Previous Periods

The Determination defines the quantity CPI_y as “the CPI for the quarter ending 6 months prior to the commencement of the period in question. Thus CPI_2 will be the CPI for the December quarter 2007.”

In calculating the AARR, the determination prescribes the use of the values CPI_y , CPI_{y-1} , and CPI_{y-2} . For this Period 2, therefore, we need values for CPI_2 , CPI_1 and CPI_0 . Using the definition:

CPI_2 will be the CPI for the December quarter of 2007 (given);

CPI_1 will be the CPI for the June quarter of 2007, since P1 begins on the 1st of January, 2008; and

CPI_0 will be the CPI for the June quarter of 2006, since P0 begins on the 1st of January, 2007.

Thus,

CPI_2 is 160.1;

CPI_1 is 157.5; and

CPI_0 is 154.3.

4.1.2 Electrical Safety Inspection Service Charge Adjustment

This is the allowable variation between the actual electrical safety inspection service charge for Period 1 and the forecast charge for Period 1. The actual electrical safety inspection service charge is as determined by the Minister, and published in the Gazette, in accordance with section 121B of the ESI Act.

The calculation, presented in Section 8, provides the allowable variation to be, -\$0.028m.

4.1.3 National Energy Market Charge

This is the allowable variation between the National Energy Market charge for Period 1 and the forecast charge for Period 1. The actual National Energy Market charge is as determined by the Minister, and published in the Gazette, in accordance with section 121 of the ESI Act.

The calculation, presented in Section 8, provides the allowable variation to be, -\$0.036m.

4.1.4 Trunk Mobile Radio Allowance

This is the allowable variation between the amount provided in the AARR and the actual cost of participation in the State Government's Trunk Mobile Radio Network.

The Determination provides that, in Period 2, this amount is zero.

4.1.5 GSL Scheme Single Event Cap

The 2007 Determination provided a mechanism to recognise the effects on Aurora's manpower resources of a large event that causes widespread outages. The mechanism allows Aurora to recover half of the value of extended duration GSL payments made to customers that experienced an outage of duration between the normal codified standard and a revised threshold that takes into account the number of customers affected.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.6 Under/Over Recovery Adjustment

The 2007 Determination allows Aurora to adjust its revenues to account for over- or under-recovery of revenues in a previous year due to a difference between the forecast and actual customer base, the latter being a function of the number of installations and the expected loads of individual tariff classes.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.7 NEM Costs

This adjustment is to allow for the difference between allowed forecast costs for participation in the NEM, excluding those cost attributable to Full Retail Contestability.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.8 FRC Costs

This allowance is to provide for the recovery of costs associated with preparations by Aurora for operating under Full Retail Contestability in Tasmania.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.9 Allowable Tax Events

This adjustment to provide for the pass-through of costs associated with an allowable tax event as consistent with Regulation 31(4) of the Price Control Regulations.

During Period 1 there were no such allowable tax events, so the adjustment is zero.

4.1.10 Approved Increased Safety / Environmental Compliance Costs

This adjustment to provide for the pass-through of costs associated with a change in safety or environmental legislation.

During Period 1 there were no such changes in legislation, so the adjustment is zero.

4.1.11 Capital Contributions Policy Change Adjustment

This adjustment is to compensate for the effects upon AARR of a change in Aurora's Capital Contributions Policy.

During Period 1 there was no change to Aurora's Capital Contributions Policy, so the value of this adjustment is zero.

4.1.12 GSL Scheme Cumulative Payments Cap

The 2007 Determination allows Aurora to limit its exposure under the GSL scheme by providing an adjustment to recover the value of “excessive” GSL payments.

The actual payments for Period 1 are not available until the Regulated accounts covering Period 1 are completed and audited. The adjustment for GSL payment related to Period 1 is to be held over until Period 3.

For period 2, $GSLcap_2$ is zero.

4.1.13 Adjustment from Previous Determination

The Regulator, in the AARR calculation methodology, provides an adjustment variable to allow for revenue adjustments resulting from the 2003 Determination.

The calculation, presented in Section 8, provides the allowable variation to be, \$8.562m.

4.1.14 Banking

The Regulator, in the AARR calculation, provides an adjustment variable to be used to assist in smoothing price fluctuations.

Aurora intends, subject to approval by the Regulator, to use the full capacity of this adjustment variable in Period 2, making the adjustment –\$1.297m.

4.2 *Transmission Costs*

The delivery of electricity from generation to final consumer involves two levels of network services, distribution and transmission. Transend is the monopoly provider of transmission network services in Tasmania, holding a transmission licence in accordance with the ESI Act. Transend’s revenues are regulated by the AER, with the AER’s transmission determination setting the maximum revenues that Transend may earn for the provision of transmission services. Aurora collects revenues on behalf of Transend; these are included as a component of Aurora’s charges for the provision of distribution services.

Aurora anticipates the 2008/09 Transend charge to be around \$79 million for 2008/09. By way of comparison, the amount required for the provision of transmission services to customers on the Aurora distribution network during the 2007/08 financial year was \$71 million.

4.3 *Metering Costs*

The Regulator has declared metering services independently of distribution services for the 2008-2012 regulatory period, choosing to regulate metering services by application of a price cap method.

To comply with the 2007 Determination and recover the correct revenue for the provision of distribution metering services, Aurora has applied an average fixed daily metering charge to each Network Tariff.

This charge is calculated as described in the Network Tariff Strategy (Section 5.4.3).

The charge is incorporated into the individual tariffs, and shown in Section 2

4.4 Effects of Adjustment Variables on Network Tariffs

4.4.1 AARR Adjustment Variables

The maximum allowable revenue that may be recovered by Aurora is the sum of the AARR and the adjusted metering and transmission cost pass throughs. The AARR adjustment variables increase or decrease the total amount of revenue that may be recovered. The effects of varying the maximum allowable revenue are, therefore, passed through to all installations on a pro rata basis through the tariffs.

4.4.2 Transmission Charge Variations

Transmission charges are considered as a direct pass-through. Initially, The allocation of TUoS is by reference to the DCoS model so that the transmission charges borne by a tariff customer class is proportional to the fraction of the distribution network cost attributable to that class (see NTS Section 5.4.2). So, any variation in transmission charges is passed through to all installations on a pro rata basis through the tariffs.

4.4.3 Metering Charges Variations

Metering charges are allocated to tariff customer groups based upon the usage of particular meter types by those tariff customer groups, so any variation in metering charges will be allocated pro rata on that basis.

4.5 Effects of Increasing AARR on Network Tariffs

Several factors, discussed above, have an effect on AARR, which leads through to variations in tariff rates. A further factor in tariff increases is in the actual variation of AARR between periods.

The MAR for Period 1 was \$90.752 million. For Period 2, MAR has been calculated to be \$211.671 million (or \$208.233 million in Period 1 dollars). Correcting for the fact that Period 1 was only six months in duration, the Period 2 MAR increased by 14.7%, excluding CPI, over that of Period 1. The customer base, on the other hand, has been estimated to increase by less than 2%.

This means that revenues collected from tariff classes have increased by an average of 14.7%, but this increase is spread over only 2% more customers. Tariff rates must, therefore, increase by more than CPI, with the actual rate for a tariff varying according to the characteristics of the customers being served by that tariff.

5 Methodologies

5.1 *Rebalancing of Revenues*

Due to the carry forward of adjustments from Period 1 to Period 2, Aurora's AARR increased by approximately 14.7% (excluding CPI) between the two periods, while its customer base and load is expected to increase by only around 2% (Section 4.5).

To meet this increase in revenue, Aurora proposes the following general strategy:

- Residential small customers will see an increase of 8% in the DUoS component of their Network Tariff;
- LV business customers will see an increase of around 10% in the DUoS component of their Network Tariff;
- HV business customers will see an increase of around 10% in the DUoS component of their Network Tariff;
- All customers will see an increase of around 4% in the TUoS component of their Network Tariff;
- All customers will see an increase of around 4% in the Metering component of their Network Tariff;
- Customers on Nursing Home tariff N02a will receive a discounted energy rate in line with the discussion in Section 6.6 of the NTS;
- Customers on curtilage tariff N02b will receive a discounted DUoS daily charge in line with the discussion in Section 6.7 of the NTS;
- Rebalancing to ensure appropriate revenues will be applied as described in Section 5.3.3 of the NTS to "fine tune" the revenue recovery.

5.2 *Reallocation between Fixed and Variable Costs*

There has been no change in the principles of allocation between fixed and variable costs. Refer to the NTS Section 5.4.1 for more details of the principles.

6 Compliance

This section is to address Guideline 2.3(d)(8): “A Network Tariff Pricing Proposal must...demonstrate compliance with the 2007 Determination, including demonstrating that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, these Guideline and the Network Tariff Strategy;

6.1 Reconciliation of Tariff Revenue with AARR

Table 37 Reconciliation of Tariff Revenue with AARR

Revenue Reconciliation	Expected Revenue
Revenue	
Total Revenue from Tariffs N01 to N15	\$296,235,831
Total Revenue from Tariff N20 (streetlight DUoS)	\$1,878,744
Estimated TUoS from N15	\$272,441
DUoS Revenue from ITC	\$1,073,947
TUoS Revenue from ITC	\$3,632,686
Total Revenue	\$303,093,650
Less adjustments	
TUoS Charge	
Forecast total TUoS charge for Period	\$79,215,912
Metering Revenue	
Revenue included in tariffs	\$12,532,635
Total Adjustments	\$91,748,547
Net Revenue after revenue adjustments	\$211,345,103
AARR allowance from 2007 Determination Table 1	\$197,063,000
CPI adjustment to revenue allowance	\$7,167,000
2003 Determination Adjustment FADJ allowance & other adjustments	\$7,407,000
Total Allowable Revenue (excluding meters)	\$211,671,000

6.2 Compliance with the Guideline

This section is to demonstrate the compliance of the Period 2 Pricing Proposal with the Guideline.

Guideline 2.3 (a) (5): Aurora must...submit to the Regulator, at least 2 months before the commencement of Period 2 and each subsequent period of the Determination, a further Pricing Proposal (an 'Annual Pricing Proposal') for the relevant period.

The Pricing Proposal for Period 2 must be submitted to the Regulator before the 1st of May, 2008.

Guideline 2.3 (d) (1): A Network Tariff Pricing Proposal must...set out the proposed Network Tariffs that are to apply for the relevant period...

The proposed Network Tariffs for Period 2 are set out by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (2): A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the terms and conditions and the charging parameters and the elements of service to which each charging parameter relates...

The terms and conditions, the charging parameters and the elements of service to which each charging parameter relates are set out by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (3): A Network Tariff Pricing Proposal must...detail the bona fide forecast installation numbers and loads and the basis of that forecast for each proposed Network Tariff used in developing the Network Tariff Pricing Proposal;

The bona fide forecast installation numbers and loads are presented by tariff class in Section 3 of this Pricing Proposal.

The bases of the bona fide forecast installation numbers and loads are taken from data obtained from the Aurora's retail business.² Both the loads and installation numbers are assumed to increase at a rate of 1.8% per annum. This is in line with the most recent 10 year distribution load forecast.

Guideline 2.3 (d) (4): A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the expected revenue for that Network Tariff for the relevant regulatory period and also for the current regulatory period...

² While retail contestability has been in operation since the 1st of July, 2006, only three customers have churned, so the Aurora retail data information is still adequate for this purpose. In future, Aurora will be using data sourced from its MDMS.

The expected revenues for Period 2 and the expected Revenues for Period 1 for each proposed Network tariff are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (5): A Network Tariff Pricing Proposal must...detail any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy...

Details of any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy are presented by tariff in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (6): A Network Tariff Pricing Proposal must...provide details of adjustment variables, including CPI, pass-through and other adjustments permissible under the 2007 Determination and transmission charges attributable to distribution connected customers for the period and an explanation of how each Network Tariff will be affected by the impact of the adjustment or adjustments.

Details of adjustment variables and explanations of how each tariff will be affected by these changes are presented in Section 4.

Guideline 2.3 (d) (7): A Network Tariff Pricing Proposal must...set out the nature of any proposed variation or adjustment to the Network Tariff that could occur during the subsequent periods and the basis on which it could occur...

The nature of any proposed variations or adjustments to Network Tariffs that could occur during subsequent periods and the basis on which they could occur are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (8): A Network Tariff Pricing Proposal must...demonstrate compliance with the 2007 Determination, including demonstrating that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, these Guideline and the Network Tariff Strategy...

Demonstration of compliance with the 2007 Determination, including demonstration that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, the Guideline and the Network Tariff Strategy is presented in Section 6.1 of this Pricing Proposal.

Guideline 2.3 (d) (9): A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination...

The nature and extent of proposed changes from the previous period and demonstrations that the changes comply with these Guideline and the 2007 Determination are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (10): A Network Tariff Pricing Proposal must...demonstrate the impact on typical customers...

The impact of the proposed Network tariffs upon typical customers is presented in Section 7 of this Pricing Proposal.

Guideline 2.3 (d) (11): A Network Tariff Pricing Proposal must...be accompanied by an internal audit certificate and certified as correct by the Chairman and one other Director of Aurora.

The internal audit certificate and certification of correctness are attached at Attachment A to this Pricing Proposal.

6.3 Compliance with the Network Tariff Strategy

The compliance of aspects of this Pricing Proposal with the NTS is addressed in the sections that deal with those aspects.

6.4 Compliance with the 2007 Determination

6.4.1 “Postage Stamp” Pricing

Pricing Principle (a) of the 2007 Determination requires that, “Network Tariffs for small customers belonging to a particular class are to be uniform, regardless of where in mainland Tasmania the customer is supplied with electricity.”.

The Aurora suite of tariffs for small customers is applicable irrespective of installation location.

6.4.2 Bounded Revenues

Pricing Principle (a) of the 2007 Determination requires that:

For each Network Tariff class, the revenue expected to be recovered should lie on or between:

- (1) an upper bound representing the stand alone cost of serving the customers who belong to that class; and
- (2) a lower bound representing the avoidable cost of not serving those customers.

Using the methodology described in Section 5.1 of the NTS, Aurora has calculated the relevant upper and lower bounds for each Network Tariff class. These, and the revenue recoverable from each Network Tariff class, are presented in Table 36.

Table 38 Tariff Class Revenues, Stand Alone Costs & Avoidable COsts

Network Tariff	Stand Alone Cost (\$ million)	Avoidable Cost (\$ million)	Revenue (\$ million)
N01 General Network	290.3	8.5	106.2
N02 General Network - Business	233.3	1.9	67.6
N02b General Network - Business less curtilage	196.3	-	1.4
N02a General Network - Business Nursing Homes	196.3	0.0	2.4
N03 LV Metered Demand (kW)	203.2	0.2	14.0
N05 Uncontrolled Heating	208.1	-	33.3
N06 Controlled Heating	197.9	-	2.5
N07 Small LV unmetered	196.3	0.0	0.1
N08 LV Day / Night (Irrigation)	199.1	0.1	7.0
N09 LV Metered Demand (kVA)	206.6	0.3	19.6
N13 LV PAYG	220.4	1.9	28.7
N13a LV PAYG	220.4	1.9	28.7
N10 HV Metered Demand (kVA)	201.0	0.2	9.7
N11 HV Metered Demand (kW)	197.5	0.1	3.6
N15 HV > 2MVA Specified Demand	196.5	0.0	0.2
N20 Streetlight	197.6	-	1.9

6.4.3 Long Run Marginal Costs

Pricing Principle (c)(1) of the 2007 Determination requires that, “A Network Tariff, and if it consists of 2 or more charging parameters each charging parameter for a tariff class...must take into account the long run marginal cost for the service or, in the case of a charging parameter, for the element of the service to which the charging parameter relates...”

Aurora believes that it has set its Network Tariffs to achieve compliance with this requirement. Refer to Section 9.3.1 of the NTS for discussion of this.

7 Typical Customer Effects

This section is to address Guideline 2.3(d)(10): “A Network Tariff Pricing Proposal must...demonstrate the impact on typical customers; and

7.1 *Estimated Changes to Retail Tariff Rates Between Period 1 and Period 2*

It has been requested that Aurora present a typical customer analysis based upon retail tariffs. Bearing in mind that Aurora as a DNSP has little control over how retailers package their tariffs, any such analysis will be purely speculative in nature. Nonetheless, please find below an analysis of the effects of the proposed Network Tariffs at a retail level.

7.1.1 Method

- Historical load distributions by common tariff mix were obtained from Aurora Retail. In the future, suitable data should be available from Aurora’s MDMS.
- The Aurora Retail published tariff rates for Period 1 were obtained, and recast to be GST-free.
- The GST-free Period 1 Retail Tariff rates were compared to the Period 1 Published Network Tariffs to obtain a matrix of inflation factors.
- The matrix of inflation factors was applied to the proposed Period 2 Network Tariffs to provide an estimate of the Period 2 Aurora Retail tariffs.
- The estimated Period 2 Aurora Retail tariffs were escalated to include GST.
- The GST-inclusive estimates of the Period 2 Aurora Retail tariffs were applied to the historical load distributions.
- The results are presented in the following sections

7.1.2 Notes

- The Retail tariffs presented for Period 2 in the Typical Customer analyses are **estimates** only.
- The estimated retail tariffs include GST.
- In line with NEM metering convention, consumption is metered on a daily basis. Accordingly, the consumption thresholds in the tariffs, while presented on a quarterly basis, are applied on a pro rata daily basis. The pro rata daily threshold is given by the equation

Pro rata Daily Consumption Threshold = $4 \times \text{Quarterly Consumption Threshold} \div 365$.

7.2 Typical Customer Analysis Results – Estimated Retail Outcomes

7.2.1 LV Residential Retail Tariff 31

Retail Tariff 31 (N01)		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (kWh)	135	17.616	23.78	18.345	24.77	4.1%
Remaining Consumption (kWh)		15.016		15.777		
Total			174.44		182.71	4.7%
(1 st Quartile)						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (kWh)	202	18.511	37.39	19.342	39.07	4.5%
Next 1000kWh per Quarter (kWh)		17.616		18.345		
Remaining Consumption (kWh)		15.016		15.777		
Total			95.49		100.30	5.0%
3 rd Quartile						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (kWh)	768	17.616	135.29	18.345	140.89	4.1%
Remaining Consumption (kWh)		15.016		15.777		
Total			285.95		298.83	4.5%

7.2.2 LV Residential Retail Tariff Mix 31, 41

		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	558	17.616	98.30	18.345	102.37	4.1%
Remaining Consumption (c/kWh)	0	15.016		15.777		
Retail Tariff 41 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	779	10.623	82.75	10.957	85.35	3.1%
Total			342.72		357.22	4.2%
1st Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	146	17.616	25.72	18.345	26.78	4.1%
Remaining Consumption (c/kWh)	0	15.016		15.777		
Retail Tariff 41 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	567	10.623	60.23	10.957	62.13	3.1%
Total			247.62		258.41	4.4%
3rd Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	1000	17.616	176.16	18.345	183.45	4.1%
Remaining Consumption (c/kWh)	49	15.016	7.36	15.777	7.73	5.1%
Retail Tariff 41 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	1077	10.623	114.41	10.957	118.01	3.1%
Total			459.60		478.69	4.2%

7.2.3 LV Residential Retail Tariff Mix 31, 42

		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	538	17.616	94.77	18.345	98.70	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 42 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	1710	10.623	181.65	10.957	187.36	3.1%
Total			438.10		455.56	4.0%
1st Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	238	17.616	41.93	18.345	43.66	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 42 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	1140	10.623	121.10	10.957	124.91	3.1%
Total			324.70		338.07	4.1%
3rd Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	931	17.616	164.00	18.345	170.80	4.1%
Remaining Consumption (c/kWh)		15.016	0.00	15.777		
Retail Tariff 42 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	2383	10.623	253.15	10.957	261.11	3.1%
Total			578.82		601.40	3.9%

7.2.4 LV Residential Retail Tariff Mix 31, 41, 61/62

		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	635	17.616	111.86	18.345	116.49	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 41 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	778	10.623	82.65	10.957	85.25	3.1%
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (c/kWh)	984	8.385	80.11	8.062	79.33	2.1%
Total			450.24		465.35	3.9%
1 st Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (kWh)	360	17.616	63.42	18.345	66.04	4.1%
Remaining Consumption (kWh)		15.016		15.777		
Retail Tariff 41 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (kWh)	681	10.623	72.34	10.957	74.62	3.1%
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (kWh)	522	8.385	42.50	8.062	42.09	2.1%
Total			353.88		367.03	4.1%
3 rd Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (kWh)	1000	17.616	176.16	18.345	183.45	4.1%
Remaining Consumption (kWh)	66	15.016	9.91	15.777	10.41	5.1%
Retail Tariff 41 – Network Tariff N05						
Daily Charge (days)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (kWh)	961	10.623	102.09	10.957	105.30	3.1%
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (days)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (kWh)	1530	8.385	124.56	8.062	123.35	2.1%
Total			588.34		606.80	3.8%

7.2.5 LV Residential Tariff Mix 31, 42, 61/62

		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Retail Tariff 31 - Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	726	17.616	127.89	18.345	133.19	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 42 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	1425	10.623	151.38	10.957	156.14	3.1%
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (c/kWh)	910	8.385	74.08	8.062	73.37	2.1%
Total			528.98		546.97	3.8%
1 st Quartile						
Retail Tariff 31 - Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	424	17.616	74.69	18.345	77.78	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 42 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	1019	10.623	108.25	10.957	111.65	3.1%
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (c/kWh)	644	8.385	52.43	8.062	51.92	2.1%
Total			410.99		425.64	4.0%
3 rd Quartile						
Retail Tariff 31 - Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	1000	17.616	176.16	18.345	183.45	4.1%
Remaining Consumption (c/kWh)	138	15.016	20.72	15.777	21.77	5.1%
Retail Tariff 42 – Network Tariff N05						
Daily Charge (c/day)	91	12.102	11.01	12.700	11.56	4.9%
All Energy Charge (c/kWh)	1849	10.623	196.42	10.957	202.59	3.1%
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (c/kWh)	1288	8.385	104.86	8.062	103.84	2.1%
Total			673.78		695.95	3.8%

7.2.6 LV Residential Retail Mix 31, 61/62

		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	508	17.616	89.49	18.345	93.19	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (c/kWh)	1110	8.385	90.37	8.062	89.49	2.1%
Total			344.47		355.41	4.0%
1 st Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	258	17.616	45.45	18.345	47.33	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (c/kWh)	642	8.385	52.27	8.062	51.76	2.1%
Total			262.33		271.82	4.2%
3 rd Quartile						
Retail Tariff 31 – Network Tariff N01						
Daily Charge (c/day)	91	63.847	58.10	67.286	61.23	5.4%
First 500kWh per Quarter (c/kWh)	500	18.511	92.56	19.342	96.71	4.5%
Next 1000kWh per Quarter (c/kWh)	884	17.616	155.73	18.345	162.17	4.1%
Remaining Consumption (c/kWh)		15.016		15.777		
Retail Tariff 61/62 – Network Tariff N06						
Daily Charge (c/day)	91	15.335	13.95	16.248	14.79	6.0%
All Energy Charge (c/kWh)	1675	8.385	136.36	8.062	135.04	2.1%
Total			456.70		469.94	3.8%

7.2.7 LV General Network – Business – Retail Tariff 22

Network Tariff N02		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	72.473	65.95	76.113	69.26	5.0%
First 500kWh per Quarter (c/kWh)	500	22.620	113.10	22.659	113.29	1.8%
Remaining Consumption (c/kWh)	472	16.605	78.38	17.407	82.16	4.8%
Total			257.43		264.72	3.6%
1 st Quartile						
Daily Charge (c/day)	91	72.473	65.95	76.113	69.26	5.0%
First 500kWh per Quarter (c/kWh)	165	22.620	37.32	22.659	37.39	1.8%
Remaining Consumption (c/kWh)		16.605		17.407		
Total			103.27		106.65	3.9%
3 rd Quartile						
Daily Charge (c/day)	91	72.473	65.95	76.113	69.26	5.0%
First 500kWh per Quarter (c/kWh)	500	22.620	113.10	22.659	113.29	1.8%
Remaining Consumption (c/kWh)	3393	16.605	563.41	17.407	590.62	4.8%
Total			742.46		773.18	4.4%

7.2.8 Nursing Homes - Retail Tariff 34

Network Tariff N02a		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	89.109	81.09	91.271	83.06	2.4%
First 500kWh per Quarter (c/kWh)	500	19.788	98.94	18.483	92.41	-6.6%
Next 500kWh per Quarter (c/kWh)	500	15.386	76.93	13.504	67.52	-12.2%
Remaining Consumption (c/kWh)	167,000	12.945	21,618.15	11.022	18,407.53	-14.9%
Total			21,875.11		18,650.52	-14.7%
1 st Quartile						
Daily Charge (c/day)	91	89.109	81.09	91.271	83.06	2.4%
First 500kWh per Quarter (c/kWh)	500	19.788	98.94	18.483	92.41	-6.6%
Next 500kWh per Quarter (c/kWh)	500	15.386	76.93	13.504	67.52	-12.2%
Remaining Consumption (c/kWh)	5817	12.945	753.01	11.022	641.18	-14.9%
Total			1,009.97		884.17	-12.5%
3 rd Quartile						
Daily Charge (c/day)	91	89.109	81.09	91.271	8306	4.4%
First 500kWh per Quarter (c/kWh)	500	19.788	98.94	18.483	92.41	-6.6%
Next 500kWh per Quarter (c/kWh)	500	15.386	76.93	13.504	67.52	-12.2%
Remaining Consumption (c/kWh)	548,022	12.945	70,941.45	11.022	60,405.58	-14.9%
Total			71,198.41		60,648.57	-14.8%

7.2.9 LV Metered Demand (kW) – Retail Tariff 83

Network Tariff N03		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	195.337	177.76	208.053	189.33	6.5%
First 250kW Demand (c/kW/day)	52	44.466	2,104.12	48.340	2,287.47	8.7%
Additional Demand (c/kW/day)		44.466		47.761		
All Energy Charge (c/kWh)	51,387	9.749	5,009.72	10.069	5,174.20	3.3%
Total			7,291.59		7,650.99	4.9%
1 st Quartile						
Daily Charge (c/day)	91	195.337	177.76	208.053	189.33	6.5%
First 250kW Demand (c/kW/day)	25	44.466	1,011.60	48.340	1,099.74	8.7%
Additional Demand (c/kW/day)		44.466		47.761		
All Energy Charge (c/kWh)	21,471	9.749	2,093.21	10.069	2,161.93	3.3%
Total			3,282.56		3,451.00	5.1%
3 rd Quartile						
Daily Charge (c/day)	91	195.337	177.76	208.053	189.33	6.5%
First 250kW Demand (c/kW/day)	138	44.466	5,584.01	48.340	6,070.59	8.7%
Additional Demand (c/kW/day)		44.466		47.761		
All Energy Charge (c/kWh)	125,325	9.749	12,217.93	10.069	12,619.08	3.3%
Total			17,979.70		18,878.99	5.0%

7.2.10 LV Metered Demand (kVA) – Retail Tariff 82

Network Tariff N09		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	195.337	177.76	203.062	184.79	4.0%
First 250kVA Demand (c/kVA/day)	125	35.035	3,985.24	37.782	4,297.72	7.8%
Additional Demand (c/kVA/day)		35.035		37.566		
All Energy Charge (c/kWh)	123,135	9.749	12,004.43	10.045	12,368.97	3.0%
Total			16,167.43		16,851.48	4.2%
1 st Quartile						
Daily Charge (c/day)	91	195.337	177.76	203.062	184.79	4.0%
First 250kVA Demand (c/kVA/day)	61	35.035	1,944.80	37.782	2,097.29	7.8%
Additional Demand (c/kVA/day)		35.035		37.566		
All Energy Charge (c/kWh)	48,595	9.749	4,737.53	10.045	4,881.39	3.0%
Total			6,860.08		7,163.46	4.4%
3 rd Quartile						
Daily Charge (c/day)	91	195.337	177.76	203.062	184.79	4.0%
First 250kVA Demand (c/kVA/day)	250	35.035	7,970.48	37.782	8,595.44	7.8%
Additional Demand (c/kVA/day)	40	35.035	1,275.28	37.566	1,367.39	7.2%
All Energy Charge (c/kWh)	278,150	9.749	27,116.84	10.045	27,940.29	3.0%
Total			36,540.35		38,087.92	4.2%

7.2.11 HV Metered Demand (kVA) – Retail Tariff 85

Network Tariff N10		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	191.589	174.35	194.8050	177.27	1.7%
Demand charge (c/kVA/day)	926	20.875	17,590.35	22.843	19,248.73	9.4%
All Energy Charge (c/kWh)	901,858	8.582	77,397.41	8.761	79,010.01	2.1%
Total			95,162.11		98,436.02	3.4%
1st Quartile						
Daily Charge (c/day)	91	191.589	174.35	194.8050	177.27	1.7%
Demand charge (c/kVA/day)	498	20.875	9,460.04	22.843	10,351.91	9.4%
All Energy Charge (c/kWh)	369,000	8.582	31,667.58	8.761	32,327.38	2.1%
Total			41,301.97		42,856.57	3.8%
3rd Quartile						
Daily Charge (c/day)	91	191.589	174.35	194.8050	177.27	1.7%
Demand charge (c/kVA/day)	1,904	20.875	36,168.50	22.843	39,578.39	9.4%
All Energy Charge (c/kWh)	1,836,950	8.582	157,647.05	8.761	160,931.68	2.1%
Total			193,989.90		200,687.34	3.5%

7.2.12 HV Metered Demand (kW) – Retail Tariff 86

Network Tariff N11		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	191.589	174.35	194.842	177.31	1.7%
Demand Charge (c/kW/day)	515	26.274	12,313.17	28.530	13,370.72	8.6%
Energy Charge (c/kWh)	573,075	8.582	49,181.30	8.763	50,219.20	2.1%
Total			61,668.81		63,767.22	3.4%
1st Quartile						
Daily Charge (c/day)	91	191.589	174.35	194.842	177.31	1.7%
Demand Charge (c/kW/day)	227	26.274	5,427.36	28.530	5,893.50	8.6%
Energy Charge (c/kWh)	179,200	8.582	15,378.94	8.763	15,703.49	2.1%
Total			20,980.65		21,774.30	3.8%
3rd Quartile						
Daily Charge (c/day)	91	191.589	174.35	194.842	177.31	1.7%
Demand Charge (c/kW/day)	1,115	26.274	26,658.61	28.530	28,948.25	8.6%
Energy Charge (c/kWh)	1,044,000	8.582	89,596.08	8.763	91,486.87	2.1%
Total			116,429.03		120,612.43	3.6%

7.2.13 LV Day/Night Irrigation – Retail Tariffs 73 & 74

		P1 2008		P2 2008/09		
Median	Units	Retail Tariff	\$	Retail Tariff	\$	% change
Daily Charge (c/day)	91	208.149	189.42	213.404	194.20	2.5%
Day Energy Charge (c/kWh)	2,882.3	19.029	548.46	20.097	579.25	5.6%
Night Energy Charge (c/kWh)	4,035.3	8.361	337.39	8.609	347.40	3.0%
Total			1075.27		1,120.85	4.2%
1st Quartile						
Daily Charge (c/day)	91	208.149	189.42	213.404	194.20	2.5%
Day Energy Charge (c/kWh)	455	19.029	86.49	20.097	91.34	5.6%
Night Energy Charge (c/kWh)	508	8.361	42.49	8.609	43.76	3.0%
Total			318.40		329.30	3.4%
3rd Quartile						
Daily Charge (c/day)	91	208.149	189.42	213.404	194.20	2.5%
Day Energy Charge (c/kWh)	11,831	19.029	2,251.37	20.097	2,377.75	5.6%
Night Energy Charge (c/kWh)	15,809	8.361	1,321.77	8.609	1,361.01	3.0%
Total			3,762.55		3,932.95	4.5%

7.3 Comparison with Other Jurisdictions

The following graphs are presented to provide a comparison between the network charges levied by Aurora and those DNSPs in other Australian jurisdictions. The charges for the other DNSPs were estimated using the known load characteristics of Aurora network users and the published Network Tariffs of those DNSPs. For ease of comparison, Aurora's charges are taken to be 100%.

7.3.1 Period 1

These graphs were not included in the Pricing Proposal for Period 1. For completeness they are included at Figures 1 to 4.

Figure 1 Residential Tariff Comparison - Period 1

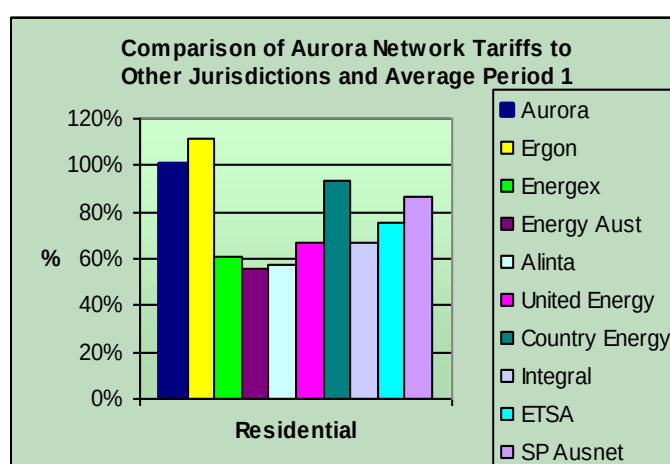


Figure 2 LV Business Tariff Comparison - Period 1

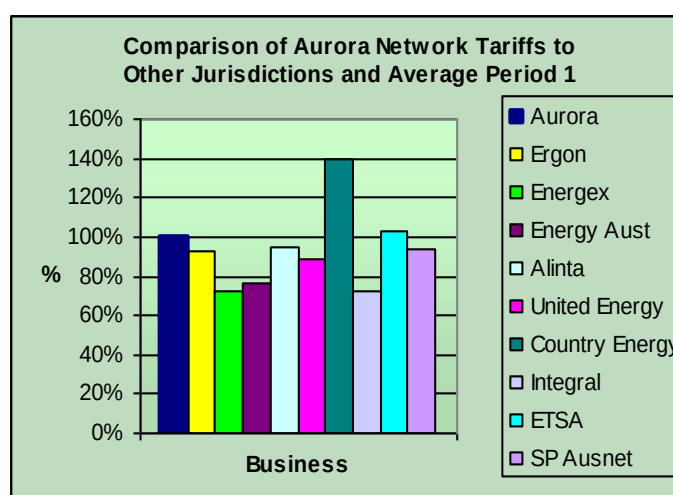


Figure 3 HV Demand (kVA) Tariff Comparison - Period 1

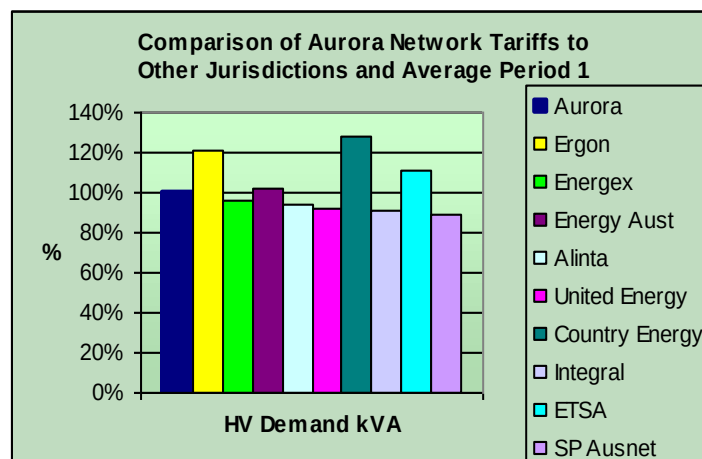
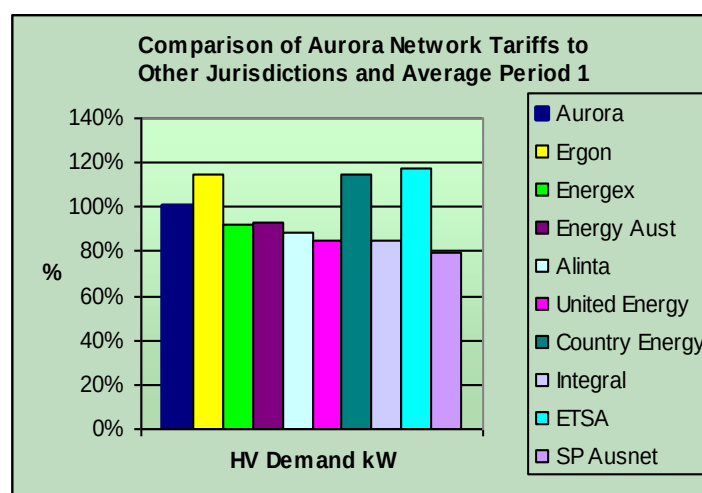


Figure 4 HV Demand (kW) Tariff Comparison - Period 1



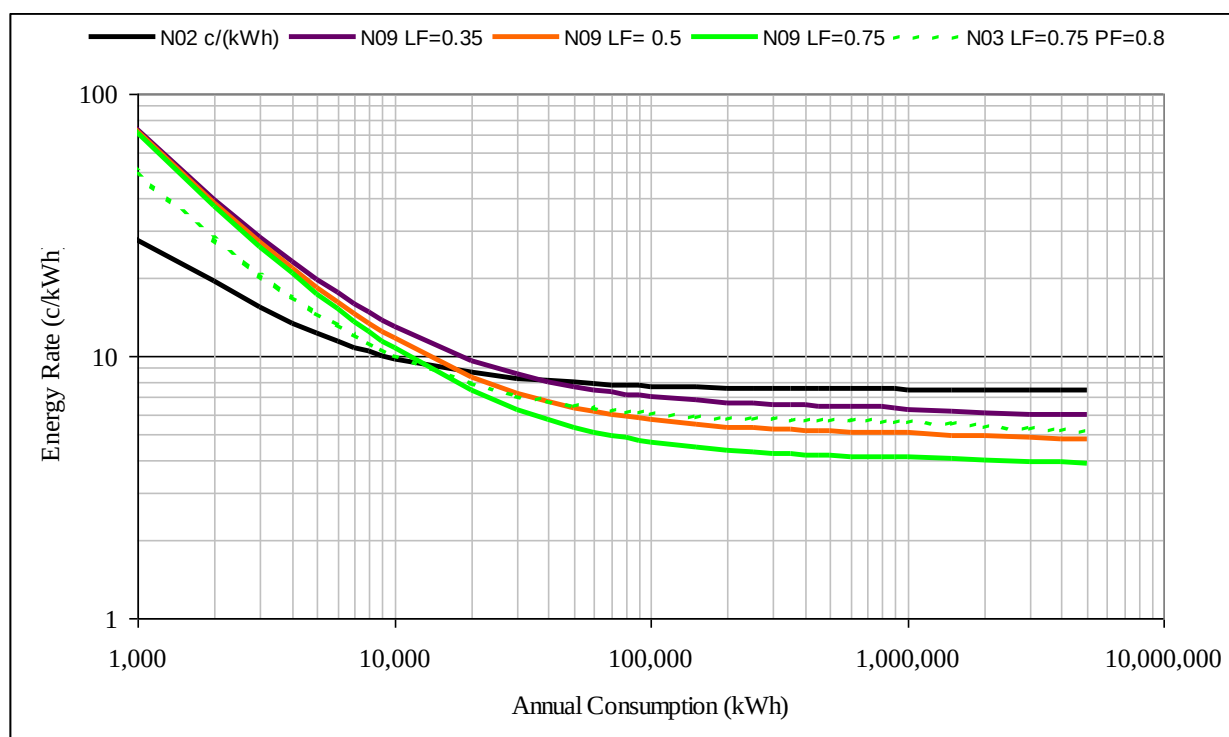
7.4 Cross-over Analysis

This section provides a series of cross-over analyses. These plots can be used to infer the annual consumptions at which any given Network Tariff becomes more efficient than another.

7.4.1 Small Customer Tariffs

Figure 5 provides comparisons between the General Network – Business N02 tariff and the two LV Metered Demand tariffs, N03 and N09 based upon the Proposed Period 2 Network tariffs.

Figure 5. Cross-over analysis for LV Business customers



8 Maximum Annual Revenue

The maximum annual revenue (AARR), which may be earned by Aurora for the provision of distribution services for each period as defined in the October 2007 Determination, is to be calculated on the following basis:

$$AARR_y = F_y \times PIF_y + \left[\left(ESISC_y + NEMC_y + TMR_y + GSLse_y \right) \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC) \right] + K_{y-p} + NEM_y \times \frac{CPI_y}{CPI_{y-2}} + FRC_y + TAXA_y + L_y + CapCon_y + GSLcap_y + CF_y + O_y$$

Throughout this document the CPI and WACC escalation factors are included in the calculation of the individual components, thus the formulae becomes:

$$AARR_y = F_y \times PIF_y + ESISC_y + NEMC_y + TMR_y + GSLse_y + K_{y-p} + NEM_y + FRC_y + TAXA_y + L_y + CapCon_y + GSLcap_y + CF_y + O_y$$

whence

$$AARR_1 = 197.063 \times \frac{160.1}{154.3} - 0.028 - 0.036 + 0 + 0 + 0 + 0 + 0 + 0 + 0 + 0 + 8.562 - 1.297$$

or

$$AARR_1 = 211.671m$$

The calculated aggregate annual revenue requirement for Period 2 (1 July 2008 to 30 June 2009) of the 2007 Pricing Determination is \$211.671m.

Where,

y is the period as defined in the determination;

F_y is the forecast maximum AARR for each period defined in table 1 of the determination;

PIF_y is the prescribed inflationary factor for the relevant period as defined in the determination;

$ESISC_y$ is the difference between the actual electrical safety inspection service charge for period $y-1$ and the relevant forecast for period $y-1$ in table 2 of the determination;

$NEMC_y$ is the difference between the National Energy Market charge and that forecast in table 3 of the determination for the relevant period;

TMR_y is the PIF escalated difference between the actual charge for the State Government Trunk Mobile Radio network and that forecast in table 5 of the determination for periods 4 and 5. If the contract is not renegotiated during period 3 or a subsequent period, TMR_y for the subsequent period is to be $-\$400,000$ escalated by the PIF for the relevant period;

$GSLse_y$ is the adjustment arising from the methodology set out in Schedule 1 of the determination for the GSL threshold;

CPI_y is the CPI for the quarter ending 6 months prior to the commencement of the relevant period;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

K_{y-p} is the adjustment for under or over recovery of allowable revenue in prior years due to variance in the customer base;

NEM_y is the PIF escalated difference between the actual allowance approved by the Regulator for period $y-2$ and that forecast in table 4 of the determination for Aurora Distribution's participation in the NEM and retail contestability costs (excluding full retail contestability costs);

FRC_y is the allowance for the implementation of full retail contestability as approved by the regulator;

$TAXA_y$ is the allowable tax event adjustment calculated in accordance with a methodology approved by the Regulator as consistent with Regulation 31(4) of the Price Control Regulations;

L_y is the allowable adjustment calculated in accordance with a methodology approved by the Regulator arising from changes in safety and/or environmental legislation;

$CapCon_y$ is the adjustment calculated in accordance with a methodology approved by the Regulator arising from a change to Aurora Distribution's capital contribution policies;

$GSLcap_y$ is the adjustment arising from the variance between actual payments to the PIF adjusted cumulative GSL threshold set out in table 6, calculated in accordance with the methodology set out in the determination;

CF_y is the adjustment arising from the administration of the 2003 Determination;

O_y is an adjustment approved by the Regulator to mitigate price fluctuations (no more than $\pm 2\%$ of F_y);

which parameters take the following values:

F_2 , the forecast maximum AARR for Period 2, as defined in Table 1 of the 2007 determination, is $\$197.063m$;

PIF₂, the prescribed inflationary factor for Period 2 (CPI_y/CPI₀), is 160.1/154.3;

ESISC₂, the electrical safety inspection service charge difference, is -\$0.028m;

NEMC₂, the National Energy Market charge difference, is -\$0.036m;

TMR₂, the PIF escalated State Government Trunk Mobile Radio network difference, is \$0;

GSLse₂, the adjustment arising from the methodology set out in Schedule 1 of the determination for the GSL threshold, is \$0;

K_{2-p}, the adjustment for under or over recovery of allowable revenue in prior years due to variance in the customer base, is \$0;

NEM₂, the PIF escalated difference between the actual allowance approved by the Regulator for period *y*-2 and that forecast in table 4 of the determination for Aurora Distribution's participation in the NEM and retail contestability costs (excluding full retail contestability costs), is \$0;

FRC₂, the allowance for the implementation of full retail contestability as approved by the regulator, is \$0;

TAXA₂, the allowable tax event adjustment calculated in accordance with a methodology approved by the Regulator as consistent with Regulation 31(4) of the Price Control Regulations, is \$0;

L₂, the allowable adjustment calculated in accordance with a methodology approved by the Regulator arising from changes in safety and/or environmental legislation, is \$0;

CapCon₂, the adjustment calculated in accordance with a methodology approved by the Regulator arising from a change to Aurora Distribution's capital contribution policies, is \$0;

GSLcap₂, the adjustment arising from the variance between actual payments to the PIF adjusted cumulative GSL threshold set out in table 6, calculated in accordance with the methodology set out in the determination, is \$0;

CF₂, the adjustment arising from the administration of the 2003 Determination, is \$8.562; and

O₂, the adjustment approved by the Regulator to mitigate price fluctuations, is -\$1.297.

8.1 Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the June and December quarter of each year will be that obtained from the Australian Bureau of Statistics web site, www.abs.gov.au or as amended from time to time.

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5.

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

8.2 Electrical Safety Inspection Service charge adjustment; $ESISC_y$

The adjustment for the difference between the actual electrical safety inspection service charge and the forecast charge for the previous period is to be calculated on the following basis:

$$ESISC_y = \left(ESISCa_{y-1} \times \frac{CPI_y}{CPI_{y-1}} - ESISCf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC)$$

Where,

$ESISCa_{y-1}$ is the actual charge for the previous period, apportioned and CPI adjusted from the calendar year charge published in the Gazette³;

$ESISCf_{y-1}$ is the forecast charge for the previous period, as detailed in Table 2 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Forecast ESIS charge for Period 1, $ESISCf_{y-1}$

The forecast electrical safety inspection service charge for period 1, as shown in Table 2 of the determination, is \$1.283m.

Actual ESIS charge for Period 1, $ESISCa_{y-1}$

The actual electrical safety inspection charge for period 1, as determined by the Minister and published in the Gazette, is \$1.284m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

³ The minister will determine the ESISC on a calendar year basis. Thus the actual ESISC for the period y-1 will be calculated assuming the calendar year costs are equally divided between each six month block and inflated by CPI as appropriate.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5.

Thus,

$$ESISC_2 = \left(1.284 \times \frac{160.1}{157.5} - 1.283 \times \frac{160.1}{154.3} \right) \times (+0.0664)$$

$$ESISC_2 = -0.028m$$

For period 2, $ESISC_2 = -\$0.028m$.

8.3 Prior years under or over recovery of revenue adjustment; K_{y-p}

The adjustment for under or over recovery of allowable revenue in prior years (K_{y-p}) for each period is to be calculated on the following basis:

$$K_{y-p} = \left(\sum_{y-2}^{CNa} p_{NT_{y-2}} \times CLa_{y-2} - \sum_{y-2}^{CNe} p_{NT_{y-2}} \times CLe_{y-2} \right) \times \frac{CPI_y}{CPI_{y-2}} \times (+WACC_{y-2})$$

$$+ (+WACC_{y-1}) \left(\sum_{y-1}^{CNe} p_{NT_{y-1}} \times CLe_{y-1} - \sum_{y-1}^{CNf} p_{NT_{y-1}} \times CLf_{y-1} \right) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC_{y-1})$$

$$K_{y-p} = (DTRa_{y-2} - DTRe_{y-2}) \times \frac{CPI_y}{CPI_{y-2}} \times (+WACC_{y-2})$$

$$+ (+WACC_{y-1}) (DTRe_{y-1} - DTRf_{y-1}) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC_{y-1})$$

where,

$$DTRa_{y-2} = \sum_{y-2}^{CNa} p_{NT_{y-2}} \times CLa_{y-2}$$

$$DTRe_{y-2} = \sum_{y-2}^{CNe} p_{NT_{y-2}} \times CLe_{y-2}$$

$$DTRf_{y-1} = \sum_{y-1}^{CNf} p_{NT_{y-1}} \times CLf_{y-1}$$

$$DTRe_{y-1} = \sum_{y-1}^{CNe} p_{NT_{y-1}} \times CLe_{y-1}$$

Note: as the adjustment for the next period is calculated prior to the end of the current period, a forward estimate of the annual quantity is used and corrected in the subsequent period, also as per the definition of Distribution Network Tariff in the determination, excludes metering and transmission charge recovery.

Where,

CNf is the forecast number of customers at the start of the relevant period;

CLf is the forecast customer load for the relevant period;

CNe is the estimated number of customers at the start of the relevant period;

CLe is the estimated customer load for the relevant period;

CNa is the actual number of customers at the start of the relevant period;

DNT_{y-1} is the distribution Network Tariff for the period prior to the relevant period;

Cle_{y-1} is the estimated customer load for the period prior to the relevant period;

Clf_{y-1} is the forecast customer load for the period prior to the relevant period;

DNT_{y-2} is the distribution Network Tariff for the period before the previous period;

Clay_{y-2} is the actual customer load for the period before the previous period;

Cle_{y-2} is the estimated customer load for the period before the previous period;

DTRa_{y-2} is the actual revenue from distribution Network Tariff for the period before the previous period;

DTRe_{y-2} is the estimated revenue from distribution Network Tariff for the period before the previous period;

DTRe_{y-1} is the estimated revenue from distribution Network Tariff for the period prior to the relevant period;

DTRf_{y-1} is the forecast revenue from distribution Network Tariff for the period prior to the relevant period;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

WACC_{y-1} is the Weighted Average Cost of Capital in the previous period; and

WACC_{y-2} is the Weighted Average Cost of Capital two periods previous.

Note that period 1 has only six months duration and therefore the WACC will only be half the annual WACC rate of 6.64% for period 1.

Forecast revenue from distribution tariff for Period 1, DTR_{fy-1}

The forecast revenue from distribution tariff for period 1, as derived Table 32 of the Initial Network Tariff Pricing Proposal, is \$90.753m.

Estimated revenue from distribution tariff for Period 1, DT_{Rey-1}

The estimated revenue from distribution tariff for period 1, as derived from the sum of the estimated number of customers, the estimated customer load and the distribution tariff for the period, is \$90.753m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

Thus

$$K_{2-p} = (TRe_{y-1} - DTRf_{y-1}) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC_{y-1})$$

$$K_{2-p} = (0.753 - 90.753) \times \frac{160.1}{157.5} \times (+0.0664)$$

$$K_{2-p} = 0$$

For period 2, $K_{2-p} = \$0$

8.4 National Energy Market Charge Adjustment; NEMC_y

The adjustment for the difference between the actual National Energy Market charge and the forecast charge for the previous period is to be calculated on the following basis:

$$NEMC_y = \left(NEMCa_{y-1} \times \frac{CPI_y}{CPI_{y-1}} - NEMCf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times (+WACC)$$

Where,

$NEMCa_{y-1}$ is the actual charge for the previous period, apportioned and CPI adjusted from the annual charge published in the Gazette;

$NEMCf_{y-1}$ is the forecast charge for the previous period, as detailed in Table 3 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Forecast NEM charge for Period 1, NEMC_{fy-1}

The forecast NEM charge for period 1, as detailed in Table 3 of the determination, is \$0.365m.

Actual NEM charge for Period 1, NEMC_{ay-1}

The actual National Energy Market charge applicable to period 1, as determined by the Minister and published in the Gazette is \$0.339m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

This gives that

$$NEMC_2 = \left(0.339 \times \frac{160.1}{157.5} - 0.365 \times \frac{160.1}{154.3} \right) \times (+0.0664)$$

$$NEMC_2 = -0.036m$$

For period 2, $NEMC_2 = -\$0.036m$

8.5 Trunk Mobile Radio Network Charge Adjustment; TMR_y

The adjustment for the difference between the actual trunk mobile network charge and the forecast charge for the previous period is to be calculated on the following basis:

TMR_1 , TMR_2 and $TMR_3 = 0$

If contract is not renegotiated in period 3,

$$TMR_4 = -\$400,000 \times \frac{CPI_y}{CPI_0}$$

Otherwise,

$$TMR_y = \left(TMR_{ay-1} \times \frac{CPI_y}{CPI_{y-1}} - TMR_{fy-1} \times \frac{CPI_y}{CPI_0} \right) \times (+WACC)$$

If contract is not renegotiated in period 4,

$$TMR_5 = -\$400,000 \times \frac{CPI_y}{CPI_0}$$

Otherwise,

$$TMR_y = \left(TMR_{y-1} \times \frac{CPI_y}{CPI_{y-1}} - TMR_{y-1}^f \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC)$$

Where,

TMR_{y-1} is the actual charge for the previous period;

TMR_{y-1}^f is the forecast charge for the previous period, as detailed in Table 5 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

There is no adjustment for Trunk Mobile Radio Network charge for Period 2.

For period 2, $TMR_2 = \$0$

8.6 *GSL threshold Adjustment; GSLsey*

The adjustment for making single duration outage GSL payments to customers where the threshold for payments has been subsequently altered using the methodology described in Schedule 1 of the Determination and which has not previously been adjusted for is to be calculated on the following basis:

$$GSLse_y = \left(GSLse_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \right) \times (1 + WACC)$$

Where,

$$GSLse_{y-1} = \sum_{events} \left(\frac{P}{2} \times 80 \right)$$

Where,

P is the number of payments made to customers who experienced an outage shorter than the adjusted threshold;

$GSLse_{y-1}$ is the sum of the payments made to customers who experienced an outage shorter than the adjusted threshold for the previous period;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

There has been no change to the GSL threshold for Period 1.

For period 2, $GSL_{e2} = \$0$

8.7 Participation in National Energy Market Adjustment; NEM_y

The adjustment for the difference between the actual allowance for period y-2 approved by the Regulator and the forecast allowance for period y-2 in relation to Aurora Distribution's participation in the NEM and retail contestability costs (but excluding full retail contestability costs) attributable to Aurora Distribution, as detailed in Table 4 of the Determination is to be calculated on the following basis:

$$NEM_y = (NEMf_{y-2} - NEMa_{y-2}) \times \frac{CPI_y}{CPI_{y-2}} \times (+WACC_{y-2}) \times (+WACC_{y-1})$$

Where,

$NEMf_{y-2}$ is the forecast revenue in relation to the preparation for and participation in the NEM for Aurora Distribution for period y-2 as detailed in Table 4 of the Determination;

$NEMa_{y-2}$ is the forecast revenue in relation to the preparation for and participation in the NEM for Aurora Distribution for period y-2 as detailed in Table 4 of the Determination;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

$WACC_{y-1}$ is the Weighted Average Cost of Capital in the previous period; and

$WACC_{y-2}$ is the Weighted Average Cost of Capital two periods previous.

There is no adjustment for participation in the NEM for Period 2.

For period 2, $NEM_2 = \$0$

8.8 Allowance for implementation of Full Retail Contestability; FRC_y

There is no adjustment for implementation of Full Retail Contestability for Period 2.

For period 2, $FRC_2 = \$0$

8.9 Legislation change adjustment; L_y

There is no adjustment for legislative change for Period 2.

For period 2, $L_2 = \$0$

8.10 Capital Contribution policy adjustment; $CapCon_y$

There is no adjustment for variation to capital contribution policy for Period 2.

For period 2, $CapCon_2 = \$0$

8.11 GSL payment adjustment; $GSLcap_y$

The adjustment for where total GSL payments to customers for period 1 to period y (inclusive) exceeds the cumulative threshold given in Table 6 of the Determination for is to be calculated on the following basis:

For Period 1:

$$GSLcap_y = \left(GSLa_{y-1} - GSLf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times (+WACC_{y-1})$$

For other periods:

$$GSLcap_y = \left(\sum_{1}^y GSLa_{\$2006} - GSLf_{y-1} \right) \times \frac{CPI_y}{CPI_0} \times (+WACC_{y-1})$$

Else, the adjustment for period 1 is zero and for all other periods the adjustment is zero less the sum of all adjustments made in periods 1 to y-1 (inclusive).

Where,

$GSLa_{y-1}$ is the actual GSL payments made in the previous period;

$GSLa_{\$2006}$ is the actual GSL payments made in the previous periods in \$2006;

$GSLf_{y-1}$ is the cumulative GSL threshold given in Table 6 of the Determination;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

$WACC_{y-1}$ is the Weighted Average Cost of Capital in the previous period; and

$WACC_{y-2}$ is the Weighted Average Cost of Capital two periods previous. The actual payments for Period 1 are not available until the Regulated accounts covering Period 1 are completed and audited.

The adjustment for GSL payment related to Period 1 is to be held over until Period 3.

For period 2, $GSLcap_2 = \$0$

8.12 Revenue banking adjustment; O_y

The maximum provision of O_y for revenue banking that can be utilised for any Period is equal to $\pm 2\%$ of F_y .

The forecast F_y for Period 2, as derived from Table 1 of the determination, is \$197.063m.

For Period 2, the maximum value of O (O_{max}) is:

$$O_{max} = \pm 0.02 \times 197.063 \times \frac{160.1}{154.3}$$

$$O_{max} = \pm 4.089$$

For period 2, Aurora utilised a value of -1.297 for O_2

$$O_2 = -\$1.297m$$

8.13 Adjustments arising from the administration of the 2003 Determination; CF_y

$$CF_y = ES_y + FADJ_y + K_y + M_y + SAIDI_y + SAIFI_y + NEMC_y + NEMOM_y + TAXA_y$$

Where,

ES_y is the adjustment for any differences between the amount of annual expenditure agreed between Aurora and the Delegated Electrical Safety Authority on Electrical Safety and approved by the Regulator and the relevant Electrical Safety expenditure forecast as detailed in Table 3, Schedule 1 of the 2003 Determination (escalated by the appropriate prescribed inflationary factor) for the period ending six months prior to the start of the relevant period;

$FADJ_y$ is the adjustment for variation between the actual and forecast capital expenditure (including that amount classified as work-in-progress), customer capital contributions, disposals and associated depreciation, in relation to operational and service connection assets, as detailed in Table 2, Schedule 1 of the 2003 Determination (escalated by the appropriate prescribed inflationary factor) for the period ending six months prior to the start of the relevant period;

K_y is a correction term which is the amount of under-recovery or over-recovery due to the impact of the difference between the actual energy and demand quantities metered in any year and the forecast energy and demand quantities from which distribution prices for that year were calculated.

My is a correction term which is the amount of under-recovery or over-recovery in the previous periods due to the impact of the difference between the actual meter quantities in those periods and the quantities used in the calculation of meter revenue for those periods;

$SAIDI_y$ is the performance incentive adjustment for variance in performance to the baseline SAIDI set out in Table 4, Schedule 1 of the 2003 Determination;

$SAIFI_y$ is the performance incentive adjustment for variance in performance to baseline SAIFI set out in Table 5, Schedule 1 of the 2003 Determination;

$NEMC_y$ is the adjustment due to differences between the actual capital expenditure and associated depreciation incurred by Aurora Distribution in

relation to the preparation for and participation in the NEM and the relevant forecast capital expenditure and associated depreciation as detailed in Table 2, Schedule 3 of the 2003 Determination, escalated by the appropriate prescribed inflationary factor, for the period ending six months prior to the start of the relevant period;

$NEMOM_y$ is the adjustment due to differences between the actual operating and maintenance expenditure incurred by Aurora Distribution in relation to the preparation for and participation in the NEM and the relevant forecast operating and maintenance expenditure as detailed in Table 3, Schedule 3 of the 2003 Determination, escalated by the appropriate prescribed inflationary factor, for the period ending six months prior to the start of the relevant period; and

$TAXA_y$ is an allowable tax event adjustment.

The actual expenditures for all other items related to the period 1 July 2007 to 31 December 2007 are taken from management accounts.

$$CF_2 = ES_2 + FADJ_2 + K_2 + M_2 + SAIDI_2 + SAIFI_2 + NEMC_2 + NEMOM_2 + TAXA_2$$

$$CF_2 = -0.062 + 10.413 - 0.566 - 0.962 - 0.259 - 0.925 - 2.496 + 3.419 + 0$$

$$CF_2 = 8.562m$$

For Period 2, **$CF_2 = \$8.562m$**

8.13.1 Revenue Adjustments for Variations in Electrical Safety Expenditure, ES_y

With agreement from the regulator, the amount calculated for Period 1 was held over to the Period 2 calculation. For Period 1, the calculated ES_y was -0.059. There is to be no additional calculation of ES_y for Period 2, therefore the calculation of ES_y for Period 2 becomes:

$$ES_y = ES_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC)$$

Where,

ES_{y-1} is the calculated amount from Period 1;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the commencement of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Calculated Electrical Safety revenue, ES_y -1

The calculated electrical safety revenue for Period 1 is -\$0.059m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

$$ES_2 = -0.059 \times \frac{160.1}{157.5} \times (+0.0332)$$

$$ES_2 = -0.062m$$

For Period 2, $ES_2 = -\$0.062m$

8.13.2 Revenue Adjustments for Variation in Capital expenditure, $FADJ_y$

The Revenue Adjustments for Variation in Capital expenditure ($FADJ_y$) for each period is to be calculated on the following basis:

$$FADJ_y = (AARR_y^{(a)} - AARR_y^{(f)}) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC)$$

Where,

$AARR_y^{(a)}$ is the actual impact of capital expenditure, related to the determination period ending 31 December 2007, for the year ending 30 June preceding the relevant period on the AARR;

$AARR^{(f)}_y$ is the forecast impact of capital expenditure, related to the determination period ending 31 December 2007, for the year ending 30 June preceding the relevant period on the AARR, as derived from Table 2 of Schedule 1 of the 2003 determination;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period; and

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year.

Actual Impact of Capital Expenditure, $AARR(a)_y$

The actual impact of capital expenditure on the AARR for Period 2, is \$15.327m.

Forecast Impact of Capital Expenditure, $AARR(f)_y$

The forecast impact of capital expenditure on the AARR for Period 2, is \$11.574m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

The revenue adjustment for variations in capital expenditure ($FADJ_y$) for Period 2 includes the FADJ of \$7.161m from Period 1 less \$1.0m included in the Period 1 revenue, and WACC is for six months.

$$FADJ_2 = (CF_1 \text{ balance}) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC) + (AARR^{(a)}_y - AARR^{(f)}_y) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC)$$

$$FADJ_2 = (7.161 - 1.0) \times \frac{160.1}{157.5} \times (+0.0332) + (5.327 - 11.574) \times \frac{160.1}{157.5} \times (+0.0332)$$

$$FADJ_2 = 10.413$$

For Period 2, $FADJ_2 = \$10.413m$

8.13.3 Revenue Adjustments for Variations in Energy and Demand, K_y

$$K_y = (AAR \text{ Re}_{y-2} - AARRa_{y-2}) \times \frac{CPI_y}{CPI_{y-2}} \times (+WACC)$$

Where,

$AARRe_{y-2}$ is the estimated AARR for the year eighteen months previous to the relevant period.

$AARRa_{y-2}$ is the actual AARR charged by Aurora for the year eighteen months previous to the relevant period;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending eighteen months prior to the relevant period.

Estimated AARR, $AARRe_{y-2}$

The estimated AARR to be charged for 2007, is \$164.276m.

Actual AARR, $AARRa_{y-2}$

The actual AARR charged for 2007, is \$165.754m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-2}

The weighted average of all capital cities CPI index number for the June quarter of 2006 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 154.3

The revenue adjustment for variations in energy and demand (K_y) for Period 2 is:

$$K_2 = (164.276 - 165.754) \times \frac{160.1}{154.3} \times (+0.0664) \times (+0.0332)$$

$$K_2 = -1.690$$

With agreement from the regulator, the amount calculated for Period 1 was held over to the Period 2 calculation. For Period 1, the calculated K_y was 1.070, therefore the calculation of K_y for Period 2 becomes:

$$K_y = K_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC) + K_p$$

Where,

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending eighteen months prior to the commencement of the relevant period;

K_{y-1} is the calculated value of Revenue Variations for Period 1;

K_p is the calculated value of Revenue Variations for Period 2;

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

Calculated value of Revenue Variations, Ky-1

The calculated value of Revenue Variations for Period 1 is 1.070.

The revenue adjustment for the impact of Revenue Variations is:

$$K_2 = 1.070 \times \frac{160.1}{157.5} \times (+0.0332) = 1.690$$

$$K_2 = 0.566$$

For Period 2, $K_2 = \$0.566\text{m}$

8.13.4 Revenue Adjustments for the Impact of SAIDI Variations – SAIDI_y

With agreement from the regulator, the amount calculated for Period 1 was held over to the Period 2 calculation. For Period 1, the calculated SAIDI_y was –915.698. There is to be no additional calculation of SAIDI_y for Period 2, therefore the calculation of SAIDI_y for Period 2 becomes:

$$SAIDI_y = SAIDI_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC)$$

Where,

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the commencement of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending eighteen months prior to the commencement of the relevant period;

SAIDI_{y-1} is the calculated value of SAIDI for Period 1;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

Calculated value of SAIDI, SAIDI_{y-1}

The calculated value of SAIDI for Period 1 is –915.698.

The revenue adjustment for the impact of SAIDI variations is:

$$SAIDI_2 = -915.698 \times \frac{160.1}{157.5} \times (+0.0332)$$

$$SAIDI_2 = -961,717$$

For Period 2, $SAIDI_2 = -\$0.962m$

8.13.5 Revenue Adjustments for the Impact of SAIFI Variations – SAIFI_y

With agreement from the regulator, the amount calculated for Period 1 was held over to the Period 2 calculation. For Period 1, the calculated SAIFI_y was -0.247. There is to be no additional calculation of SAIFI_y for Period 2, therefore the calculation of SAIFI_y for Period 2 becomes:

$$SAIFI_y = SAIFI_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC)$$

Where,

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the commencement of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending eighteen months prior to the commencement of the relevant period;

SAIFI_{y-1} is the calculated value of SAIFI for Period 1;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

Calculated value of SAIFI, SAIFI_{y-1}

The calculated value of SAIDI for Period 1 is -0.247.

The revenue adjustment for the impact of SAIDI variations is:

$$SAIFI_2 = -0.247 \times \frac{160.1}{157.5} \times (+0.0332)$$

$$SAIFI_2 = -259,422$$

For Period 2, $SAIFI_2 = -\$0.259m$

8.13.6 Revenue Adjustments for Variations in Meter Installations, M_y

With agreement from the regulator, the amount calculated for Period 1 was held over to the Period 2 calculation. For Period 1, the calculated M_y was -0.881. There is to be no additional calculation of M_y for Period 2, therefore the calculation of M_y for Period 2 becomes:

$$M_y = M_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC)$$

Where,

M_{y-1} is the calculated value of M for Period 1;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the commencement of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

The revenue adjustment for variations in meters (M_y) is:

$$M_2 = -0.881 \times \frac{160.1}{157.5} \times (1 + 0.0332)$$

$$M_2 = -\$925,198$$

For Period 2, $M_2 = -\$0.925m$

8.13.7 Revenue Adjustments for Variation in Capital Expenditure, $NEMC_y$

The Revenue Adjustments for Variation in Capital Expenditure ($NEMC_y$) for each calendar year is to be calculated on the following basis:

$$NEMC_y = (ARNEM_y^{(a)} - ARNEM_{y-1}^{(f)}) \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC)$$

$$ARNEM_{y-1}^{(a)} = ANEM_{y-1}^{(a)} \times WACC + DNEM_{y-1}^{(a)}$$

$$ANEM_{y-1}^{(a)} = ANEM_{y-2}^{(a)} \times \frac{CPI_{y-1}}{CPI_{y-2}} + CNEM_{y-1}^{(a)} - DNEM_{y-1}^{(a)}$$

$$ARNEM_{y-1}^{(f)} = ANEM_{y-1}^{(f)} \times WACC + DNEM_{y-1}^{(f)} \times \frac{CPI_{y-1}}{CPI_0}$$

$$ANEM_{y-1}^{(f)} = ANEM_{y-2}^{(f)} \times \frac{CPI_{y-1}}{CPI_{y-2}} + \left(CNEM_{y-1}^{(f)} - DNEM_{y-1}^{(f)} \right) \times \frac{CPI_{y-1}}{CPI_0}$$

Where,

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending on 30 June 2002, being 137.6;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

$ANEM_{y-2}^{(a)}$ is the actual closing asset base due to impact of NEM capital expenditure for the period from 1 July 2003 to 30 June of the year two years previous to the period, as derived from Aurora's ring-fenced accounts;

$ANEM_{y-2}^{(f)}$ is the forecast closing asset base due to impact of NEM capital expenditure for the period from 1 July 2003 to 30 June of the year two years previous to the relevant calendar year, as derived from Table 2, Schedule 3 of the 2003 Determination;

$CNEM_{y-1}^{(a)}$ is the actual NEM capital expenditure for the year ending six months preceding the relevant calendar year, as derived from Aurora's ring-fenced/management accounts.

$CNEM_{y-1}^{(f)}$ is the forecast NEM capital expenditure for the year ending 30 June preceding the relevant calendar year, as derived from Table 2, Schedule 3 of the 2003 Determination.

$DNEM_{y-1}^{(a)}$ is the actual cumulative depreciation associated with the increase in the asset base due to the impact of NEM capital expenditure for the period from 1 July 2003 to 30 June of the year preceding the relevant calendar year, as derived from Aurora's ring-fenced/management accounts.

$DNEM^{(f)}_{y-1}$ is the forecast cumulative depreciation associated with the increase in the asset base due to the impact of NEM capital expenditure for the period from 1 July 2003 to 30 June of the year preceding the relevant calendar year, as derived from Table 2, Schedule 3 of the 2003 Determination.

Actual closing asset base, ANEM0(a)2007

The actual closing asset base due to NEM capital expenditure at 30 June 2007, is \$3.615m.

Forecast closing asset base, ANEM0(f)2007

The forecast closing asset base due to NEM capital expenditure at 30 June 2007 as derived from Table 2 Schedule 3 of the determination, is \$5.983m

Actual capital expenditure, CNEM (a)Dec2007

The approved capital expenditure from Table 8.4 of the 2007 Final Report as at 31 December 2007 is \$0.75m.

Forecast capital expenditure, CNEM (f)2008

The forecast capital expenditure to 30 June 2008, as derived from Table 2 Schedule 3 of the determination, is \$1.0m. The forecast capital expenditure to 31 December 2007 is therefore \$0.5m.

Actual cumulative depreciation, DNEM (a)2008

The cumulative depreciation associated with the expenditure up to 31 December 2007 is \$0.639m.

Forecast cumulative depreciation, DNEM (f)2008

The forecast cumulative depreciation at 30 June 2008, as derived from Table 2 Schedule 3 of the determination, is \$2.166m. The forecast cumulative depreciation at 31 December 2007 is therefore \$1.806m.

Weighted Average of All Capital Cities CPI, CPIDec2007

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI2007

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5.

Weighted Average of All Capital Cities CPI, CPI2006

The weighted average of all capital cities CPI index number for the June quarter of 2006 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 154.3.

The revenue adjustment for variations in capital expenditure ($NEMC_y$) for the period 1 July 2006 to 31 December 2007 is (notionally calculating for the 2009 calendar year):

$$NEMC_{2009} = \left(ARNEM_{Dec2007}^{(a)} - ARNEM_{Dec2007}^{(f)} \right) \times \frac{CPI_{Dec2007}}{CPI_{2007}} \times (+WACC)$$

$$ARNEM_{Dec2007}^{(a)} = ANEM_{Dec2007}^{(a)} \times WACC + DNEM_{2008}^{(a)}$$

$$ARNEM_{Dec2007}^{(f)} = ANEM_{Dec2007}^{(f)} \times WACC + DNEM_{2008}^{(f)} \times \frac{CPI_{2007}}{CPI_0}$$

$$ANEM_{Dec2007}^{(a)} = ANEM_{2007}^{(a)} \times \frac{CPI_{2007}}{CPI_{2006}} + CNEM_{2007}^{(a)} - DNEM_{2007}^{(a)}$$

$$ANEM_{Dec2007}^{(f)} = ANEM_{2007}^{(f)} \times \frac{CPI_{2007}}{CPI_{2006}} + \left(CNEM_{2007}^{(f)} - DNEM_{2008}^{(f)} \right) \times \frac{CPI_{2007}}{CPI_0}$$

Where,

$$ANEM_{Dec2007}^{(a)} = 3.615 \times \frac{157.5}{154.3} + 0.750 - 0.639$$

$$ANEM_{Dec2007}^{(a)} = 3.801$$

$$ANEM_{Dec2007}^{(f)} = 5.983 \times \frac{157.5}{154.3} + \left(0.500 - 1.806 \right) \times \frac{157.5}{137.6}$$

$$ANEM_{Dec2007}^{(f)} = 4.612$$

$$ARNEM_{2007}^{(a)} = 3.801 \times 0.0331 + 0.639$$

$$ARNEM_{2007}^{(a)} = 0.765$$

$$ARNEM_{2007}^{(f)} = 4.612 \times 0.0331 + 1.806 \times \frac{157.5}{137.6}$$

$$ARNEM_{2007}^{(f)} = 2.219$$

$$NEMC_{2009} = \left(0.765 - 2.219 \right) \times \frac{160.1}{157.5} \times (+0.0332)$$

$$NEMC_{2009} = -1.527m$$

With agreement from the regulator, the amount calculated for Period 1 was held over to the Period 2 calculation. For Period 1, the calculated $NEMC_y$ was -0.923, therefore the calculation of $NEMC_y$ for Period 2 becomes:

$$NEMC_y = NEMC_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC) + NEMC_p$$

Where,

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the commencement of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending eighteen months prior to the commencement of the relevant period;

$NEMC_{y-1}$ is the calculated value of NEMC for Period 1;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

$NEMC_p$ is the calculated value of NEMC for Period 2;

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

Calculated value of Period 1 NEMC, NEMC_{y-1}

The calculated value of NEMC for Period 1 is -0.923.

The revenue adjustment for the impact of NEM capital expenditure variations is:

$$NEMC_2 = NEMC_{2008} \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC) \div NEMC_{2009}$$

$$NEMC_2 = -0.923 \times \frac{160.1}{157.5} \times (+0.0332) \div 1.527$$

$$NEMC_2 = -2.496m$$

For Period 2, $NEMC_2 = -\$2.496m$

8.13.8 Revenue Adjustments for Variation in Operating and Maintenance Expenditure, NEMOM_y

The Revenue Adjustments for Variation in Operating and Maintenance Expenditure (NEMOM_y) for each calendar year is to be calculated on the following basis:

$$NEMOM_y = \left(OMNEM_{y-1}^{(a)} \times \frac{CPI_y}{CPI_{y-1}} - OMNEM_{y-1}^{(f)} \times \frac{CPI_y}{CPI_0} \right) \times (+WACC)$$

Where,

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending on 30 June 2002, being 137.6;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

OMNEM^(a)_{y-1} is the actual NEM operating and maintenance expenditure for the year ending 30 June preceding the relevant period, as derived from Aurora's ring-fenced accounts; and

OMNEM^(f)_{y-1} is the forecast NEM operating and maintenance expenditure for the year ending 30 June preceding the relevant period, as derived from Table 3, Schedule 3 of the 2003 Determination.

Actual operating and maintenance expenditure, OMNEM (a)2008

The operating and maintenance expenditure (as submitted to the Regulator for approval) at 31 December 2007, is \$1.613m.

Forecast operating and maintenance expenditure, OMNEM (f)2008

The forecast operating and maintenance expenditure at 30 June 2008, as derived from Table 3 Schedule 3 of the determination, is \$0.975m. The forecast operating and maintenance expenditure at 31 December 2007 is therefore \$0.488m.

$$NEMOM_{2009} = \left(OMNEM_{2008}^{(a)} - OMNEM_{2008}^{(f)} \times \frac{CPI_{2007}}{CPI_0} \right) \times \frac{CPI_{Dec2007}}{CPI_{2007}} \times (1 + WACC)$$

$$NEMOM_{2008} = \left(1.613 - 0.488 \times \frac{157.5}{137.6} \right) \times \frac{160.1}{157.5} \times (1 + 0.0332)$$

$$NEMOM_{2008} = 1.107m$$

With agreement from the regulator, the amount calculated for Period 1 was held over to the Period 2 calculation. For Period 1, the calculated NEMOM_y was 2.202, therefore the calculation of NEMOM_y for Period 2 becomes:

$$NEMOM_y = NEMOM_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC) + NEMOM_p$$

Where,

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the commencement of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending eighteen months prior to the commencement of the relevant period;

NEMOM_{y-1} is the calculated value of NEMC for Period 1;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

NEMOM_p is the calculated value of NEMC for Period 2;

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the June quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 157.5

Calculated value of Period 1 NEMOM, NEMOM_{y-1}

The calculated value of NEMOM for Period 1 is 2.202.

The revenue adjustment for the impact of NEM operating expenditure variations is:

$$NEMOM_2 = NEMOM_{2008} \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC) + NEMOM_{2009}$$

$$NEMOM_2 = 2.202 \times \frac{160.1}{157.5} \times (1 + 0.0332) + 1.107$$

$$NEMOM_2 = 3.419m$$

For Period 2, NEMOM₂ = \$3.419m

8.13.9 Tax Event Adjustment; TAX_{Ay}

No tax events have occurred during the 2003 Determination period therefore the adjustment is zero.

9 Audit Certificate

This section is to address Guideline 2.3(d)(11): “A Network Tariff Pricing Proposal must...be accompanied by an internal audit certificate and certified as correct by the Chairman and one other Director of Aurora.

The audit certificate and certification from the Chairman and one other director is attached.

10 Definitions

“A” or **“Amp”** means ampere;

“AARR” means the aggregate annual revenue requirement determined in accordance with Clause 4 of the 2007 Determination;

“ABC” means aerial bundled cable;

“AER” means the Australian Energy Regulator;

“Aurora” means Aurora Energy Pty Ltd (ABN 85 082 464 622);

“charging parameters” of a Network Tariff means the constituent elements of the Network Tariff;

“Consumer Price Index” or **“CPI”** means the Consumer Price Index: Average All Capital Cities published by the Australian Statistician under the Census and Statistics Act 1905 of the Commonwealth;

“customer” has the same meaning as in the TEC;

“distribution connected customer” means a distribution customer other than an electricity retailer, where distribution customer and electricity retailer have the same meaning as in the TEC;

“distribution Network Tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, to recover its AARR, as amended from time to time;

“DORC” means depreciated optimised replacement cost;

“DUoS” means Distribution Use of System;

“duration of the Determination” means the period from 1 January 2008 to 30 June 2012.

“ESI Act” means the *Electricity Supply Industry Act 1995*;

“Final Pricing Investigation Report” means the *Investigation of Prices for Electricity Distribution Services and Retail Tariffs on Mainland Tasmania, Final Report and Proposed Maximum Prices* issued in September 2007;

“FRC” means Full Retail Contestability;

“Guideline” means the *Approval of Network Tariffs in accordance with the 2007 Determination Guideline* issued by the Regulator in November 2007;

“HV” means high voltage;

“kVA” means kilovolt amp;

“kW” means kilowatt;

“kWh” means kilowatt hour;

“large customer” means a customer that is not a small customer;

“LV” means low voltage;

“National Electricity Law” or **“NEL”** has the same meaning as in the ESI Act;

“National Electricity Market” or **“NEM”** has the same meaning as in the ESI Act;

“National Electricity Rules” or **“NER”** has the same meaning as in the ESI Act;

“NEMMCO” has the same meaning as in the ESI Act;

“NEM related costs” means those costs incurred by Aurora in providing the declared services related to electricity market reform as approved by the Regulator under Clause 4 of the 2007 Determination;

“Network Tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, for network services, and for network services and metering services associated with a Type 5, 6 or 7 installation, as amended from time to time;

“NTS” means the Network Tariff Strategy;

“NUoS” means network use of system;

“ORC” means optimised replacement cost;

“Period 1” means the period commencing 1 January 2008 and ending on 30 June 2008;

“Period 2” means the period commencing 1 July 2008 and ending on 30 June 2009;

“Period 3” means the period commencing 1 July 2009 and ending on 30 June 2010;

“Period 4” means the period commencing 1 July 2010 and ending on 30 June 2011;

“Period 5” means the period commencing 1 July 2011 and ending on 30 June 2012;

“Price Control Regulations” mean the *Electricity Supply Industry (Price Control) Regulations 2003*;

“Regulator” has the same meaning as in the ESI Act;

“small customer” has the same meaning as in the 2007 Determination;

“TEC” means the Tasmanian Electricity Code (as amended from time to time), published by the Regulator under the ESI Act;

“TOU” means time of use;

“Transend” means Transend Networks Pty Ltd (ABN 57 082 586 892) or its successors;

“transmission charges” means those charges attributable to distribution connected customers imposed by Transend for the provision of transmission services in accordance with the NER;

“TUoS” means Transmission Use of System;

“typical customers” means a set of customers derived using the methodology described in the *Typical Electricity Customers Information Paper* issued by the Office of the Tasmanian Energy Regulator in March 2006;

“2007 Determination” means the *Electricity Supply Industry Pricing Policies Declared Electrical Services Pricing Determination* issued by the Regulator in accordance with the Price Control Regulations in October 2007.